



# **Guidelines for Prevention of Money Laundering (ML) & Terrorist Financing (TF)**

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## CHAPTER 1

### BACKGROUND

#### 1.1. Introduction

Money Laundering is being employed by launderers worldwide to conceal the proceeds earned from criminal activities. It happens in almost every country in the world and a single scheme typically involves transferring money through several countries in order to obscure its origins and the rise of global financial markets makes money laundering easier than ever, making it possible to anonymously deposit “dirty” money in one country and then have it transferred to any other country for use. Money Laundering has a major impact on a country’s economy as a whole, impeding the social, economic, political and cultural development of societies worldwide. Both money laundering and terrorist financing can weaken individual financial institution and they are also a threat to a country’s overall financial sector reputation. Combating money laundering and terrorist financing is, therefore, a key element in promoting a strong, sound and stable financial sector.

The process of money laundering and terrorist financing (ML/TF) is very dynamic and ever evolving. The money launderers and terrorist financiers are inventing more and more complicated and sophisticated procedures and using new technology for money laundering and terrorist financing. To address these emerging challenges, the global community has taken various initiatives against ML/TF. In accordance with Local & international initiatives, Bangladesh has also acted on many fronts. Bangladesh Infrastructure Finance Fund Limited is an important partner in such emergent initiatives.

#### 1.2. Definition of Money Laundering

Money Laundering can be defined in a number of ways. But the fundamental concept of money laundering is the process by which proceeds from a criminal activity are disguised to conceal their illicit origins. Most countries subscribe to the following definition which was adopted by the United Nations Convention against Illicit Traffic in narcotic Drugs and psychotropic Substances (1988) (the Vienna Convention) and United Nations Convention Against Transactional Organized Crime (2000) (the Palermo Convention):

- The conversion or transfer of property, knowing that such property is derived from any offense, e.g. drug trafficking or offenses or from an act of participation in such offense or offenses, for the purpose of concealing or disguising the illicit origin of the property or of assisting any person who is involved in the commission of such an offense or offenses to evade the legal consequences of his actions;
- The concealing or disguising the true nature, source, location, disposition, movement, rights with respect to, or ownership of property, knowing that such property is derived from an offense or offenses or from an act of participation in such an offense or offenses, and;

- The acquisition, possession or use of property, knowing at the time of receipt that such property was derived from an offense or offenses or from an act of participation in such offense or offenses.

The Financial Action Task Force (FATF), the international standard setter for anti- money laundering (AML) and combatting financing of terrorism (CFT) efforts, defines the term “money laundering” as “the processing of criminal proceeds to disguise its illegal origin” in order to “legitimize” the ill-gotten gains of crime.

Section 2 (v) of the Money Laundering Prevention Act 2012 defines money laundering as follows:

‘Money laundering’ means-

- i. knowingly moving, converting, or transferring proceeds of crime or property involved in an offence for the following purposes:
  - a) concealing or disguising the illicit nature, source, location, ownership or control of the proceeds of crime; or
  - b) assisting any person involved in the commission of the predicate offence to evade the legal consequences of such offence;
- ii. smuggling money or property earned through legal or illegal means to a foreign country;
- iii. knowingly transferring or remitting the proceeds of crime to a foreign country or remitting or bringing them into Bangladesh from a foreign country with the intention of hiding or disguising its illegal source; or
- iv. concluding or attempting to conclude financial transactions in such a manner so as to reporting requirement under this Act may be avoided;
- v. converting or moving or transferring property with the intention to instigate or assist for committing a predicate offence;
- vi. acquiring, possessing or using any property, knowing that such property is the proceeds of a predicate offence;
- vii. performing such activities so as to the illegal source of the proceeds of crime may be concealed or disguised;
- viii. participating in, associating with, conspiring, attempting, abetting, instigate or counsel to commit any offences mentioned above.

### 1.3. Stages of Money Laundering

Obviously there is no single way of laundering money or other property. It can range from the simple method of using it in the form in which it is acquired to highly complex schemes involving a web of international businesses and investments. Traditionally it has been accepted that the money laundering process comprises three stages:

- Placement- Placement is the first stage of the money laundering process, in which illegal funds or assets are brought first into the financial system directly or indirectly.

- Layering- Layering is the second stage of the money laundering process, in which illegal funds or assets are moved, dispersed and disguised to conceal their origin. Funds can be hidden in the financial system through a web of complicated transactions.
- Integration- Integration is the third stage of the money laundering process, in which the illegal funds or assets are successfully cleansed and appeared legitimate in the financial system.

#### 1.4. Why Money Laundering is Done

First, money represents the lifeblood of the organization/person that engages in criminal conduct for financial gain because it covers operating expenses and pays for an extravagant lifestyle. To spend money in these ways, criminals must make the money they derived illegally appear legitimate.

Second, a trail of money from an offense to criminals can become incriminating evidence. Criminals must obscure or hide the source of their wealth or alternatively disguise ownership or control to ensure that illicit proceeds are not used to prosecute them.

Third, the proceeds from crime often become the target of investigation and seizure. To shield ill-gotten gains from suspicion and protect them from seizure, criminals must conceal their existence or, alternatively, make them look legitimate.

#### 1.5. Defining Terrorist Financing

Terrorist financing can simply be defined as financial support, in any form, of terrorism or of those who encourage, plan, or engage in terrorism. The International Convention for the Suppression of the Financing of Terrorism (1999) under the United Nations defines TF as follows:

- i. If any person commits an offense by any means, directly or indirectly, unlawfully and willingly, provides or collects funds with the intention that they should be used or in the knowledge that they are to be used, in full or in part, in order to carry out:
  - a) An act which constitutes an offence within the scope of and as defined in one of the treaties listed in the link given in chapter 2; or
  - b) Any other act intended to cause death or serious bodily injury to a civilian, or to any other person not taking any active part in the hostilities in a situation of armed conflict, when the purpose of such act, by its nature or context, is to intimidate a population, or to compel a government or an international organization to do or to abstain from doing an act.
- ii. For an act to constitute an offense set forth in the preceding paragraph 1, it shall not be necessary that the funds were actually used to carry out an offense referred to in said paragraph 1, subparagraph (a) or (b).

Bangladesh has ratified this convention and criminalized terrorism or terrorist activities under section 6(1) of Anti-Terrorism Act, 2009 in line with the requirement set out in 9 (nine) conventions and protocols that were annexed in the convention.

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Section 7(1) of Anti-Terrorism Act (ATA), 2009, defines terrorist financing as follows-

If any person or entity willfully provides, receives, collects or makes arrangements for money, service or any other property, whether from legitimate or illegitimate source, by any means, directly or indirectly, with the intention that, it would, in full or in part, be used-

- a) to carry out terrorist activity;
- b) by a terrorist person or entity for any purpose, or is in the knowledge that it may be used by a terrorist person or entity;

the said person or entity shall be deemed to have committed the offence of terrorist financing.

Moreover, according to Anti-Terrorism Act (ATA), 2009 conviction for terrorist financing shall not depend on any requirement that the fund, service or any other property was actually used to carry out or direct or attempt to carry out a terrorist act or be linked to a specific terrorist act.

## 1.6. The Link between Money Laundering and Terrorist Financing

The techniques used to launder money are essentially the same as those used to conceal the sources of and uses for terrorist financing. But funds used to support terrorism may originate from legitimate sources, criminal activities or both. Nonetheless, disguising the source of terrorist financing, regardless of whether the source is of legitimate or illicit origin, is important. If the source can be concealed, it remains available for future terrorist financing activities. Similarly, it is important for terrorists to conceal the use of the funds so that the financing activity goes undetected.

As noted above, a significant difference between money laundering and terrorist financing is that the funds involved may originate from legitimate sources as well as criminal activities. Such legitimate sources may include donations or gifts of cash or other assets of organizations, such as foundations or charities that, in turn, are utilized to support terrorist activities or terrorist organizations.

## 1.7. Why we must Combat ML & TF

Money laundering has potentially devastating economic, security, and social consequences. Money laundering is a vital process to make crime worthwhile. It provides the fuel for drug dealers, smugglers, terrorists, illegal arms dealers, corrupted public officials, and others to operate and expand their criminal enterprises. This drives up the cost of government due to the need for increased law enforcement and health care expenditures (for example, for treatment of drug addicts) to combat the serious consequences resulted from ML & TF.

Money laundering diminishes government tax revenue and therefore indirectly harms honest taxpayers. It also makes government tax collection activities more difficult. This loss of revenue generally means higher tax rates than would normally be the case if the untaxed proceeds of crime were legitimate. We also pay more taxes for public works expenditures inflated by corruption. And those of us who pay taxes pay more because of those who evade



taxes. So we all experience higher costs of living than we would if financial crimes including money laundering were prevented.

Money laundering distorts assets and commodity prices and leads to misallocation of resources. For financial institutions it can lead to an unstable liability base and to unsound asset structures thereby creating risks of monetary instability and even systemic crisis. The loss of credibility and investor's confidence, that such crisis can bring, has the potential of destabilizing financial systems, particularly in smaller economies.

One of the most serious microeconomic effects of money laundering is felt in the private sector. Money launderers often use front companies, which co-mingle the proceeds of illicit activity with legitimate funds, to hide the ill-gotten gains. These front companies have access to substantial illicit funds, allowing them to subsidize front company products and services at levels well below market rates. This makes it difficult, if not impossible, for legitimate business to compete against front companies with subsidized funding, a situation that can result in the crowding out of private sector business by criminal organizations.

Among its other negative socioeconomic effects, money laundering transfers economic power from the market, government, and citizens to criminals. Furthermore, the sheer magnitude of the economic power that accrues to criminals from money laundering has a corrupting effect on all elements of society.

The social and political costs of laundered money are also serious as laundered money may be used to corrupt national institutions. Bribing of government officials undermines the moral fabric in society, and, by weakening collective ethical standards, corrupts our democratic institutions. When money laundering goes unchecked, it encourages the underlying criminal activity from which such money is generated.

It is generally recognized that effective efforts to combat money laundering cannot be carried out without the co-operation of financial institutions, their supervisory authorities and the law enforcement agencies. Accordingly, BIFFL formulated this Policy in the line of national and international rules and laws.

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## CHAPTER 2

### COMPLIANCE REQUIREMENTS UNDER THE LAWS

In Bangladesh, compliance requirements for FIs, as reporting organization, are based on Money Laundering Prevention Act (MLPA), 2012 (Amendment in 2015), Anti-terrorism Act 2009 (Amendment in 2012 & 2013) and circulars or instructions issued by BFIU.

#### 2.1. Money Laundering Prevention Act, 2012 (Amendment in 2015)

Some important fundamentals of Money Laundering Prevention Act, 2012 is given below:

➤ **“Predicate Offence”**

**(As per section 2 of MLPA 2012)**

The offences from which the proceeds derived from committing or attempt to commit the following offences:

- i. Corruption and bribery;
- ii. Counterfeiting currency;
- iii. Counterfeiting document;
- iv. Extortion;
- v. Fraud;
- vi. Forgery;
- vii. Illegal trade of firearms;
- viii. Illegal trade in narcotic drugs, psychotropic substances and substances causing intoxication;
- ix. Illegal trade in stolen and other goods;
- x. Kidnapping, illegal restrain and hostage taking;
- xi. Murder, grievous bodily injury;
- xii. Woman and child trafficking;
- xiii. Black marketing;
- xiv. Smuggling of domestic and foreign currency;
- xv. Theft or robbery or Dacoity;
- xvi. Trafficking in human beings
- xvii. Dowry;
- xviii. Smuggling and offences related to customers and exercise duties;
- xix. Tax related offences;
- xx. Infringement of intellectual property rights;
- xxi. Terrorism or financing in terrorist activities;
- xxii. Adulteration or the manufacture of goods through infringement of title;
- xxiii. Offences relating to the environment;
- xxiv. Sexual Exploitation;
- xxv. Insider trading and market manipulation using price sensitive information relating to the capital market in share transactions before it is published for

general information to take advantage of the market and attempting to manipulate the market for personal or institutional gain;

- xxvi. Organized crime, and participation in organized criminal groups;
- xxvii. Racketeering; and
- xxviii. Any other offence declared as predicate offence by Bangladesh Bank, with the approval of the Government, by notification in the official Gazette, for the purpose of this Act.

➤ **Offence of Money laundering and Punishment**  
**(As per section 4 of MLPA 2012)**

- i. For the purpose of this Act, money laundering shall be an offence.
- ii. Any person who commits the offence of money laundering, or abets or conspires in the commission of the offence of money laundering, shall be punishable with imprisonment for a minimum period of 4 (four) years and not more than 12 (twelve) years and in addition to this a fine equivalent to the twice of the value of the property involved in the offence or taka 10 (ten) lacs, whichever is greater may be imposed.
- iii. In addition to any fine or punishment, the court may pass an order to forfeit the property of the convicted person in favor of the State which directly or indirectly involved or related with money laundering or any predicate offences.
- iv. Any entity which commits an offense under this section shall be punishable with a fine of not less than twice the value of the property or Tk.20 (twenty) lac whichever is greater and in addition to this the registration of the said entity will be liable to be cancelled.
- v. It shall not be a prerequisite to be convicted or sentenced for any predicate offence to pass an order of conviction or sentence for a money laundering crime.

➤ **Responsibilities of Reporting Organizations in Preventing the Offence of Money Laundering - (as per section 25 of MLPA 2012)**

- i. Reporting Organizations shall have the following responsibilities in the prevention of money laundering:
  - a) maintain complete and correct information with regard to the identity of its customers during the operation of their accounts;
  - b) in case of closed account of any customer, keep previous records of transactions of such account for at least 5 (five) years from the date of closure;
  - c) provide the information maintained under sub-sections (a) and (b) to Bangladesh Bank from time to time, as requested;
  - d) if any doubtful transaction or attempt of such transaction as defined under 2(n) is observed by reporting organization, it shall be reported as Suspicious Transaction Report (STR) to the Bangladesh Bank proactively and immediately.
- ii. If any reporting organization violates the provisions contained in sub-section (1), Bangladesh Bank may:
  - a) Impose a fine on the said reporting organization of a minimum of Tk.50 (fifty) thousand and up to a maximum of Tk.25 (twenty-five) lacs; and

- b) Cancel the license or the authorization for carrying out commercial activities of the said Organization or any of its branches/service centers/booths/agents, in addition to the fine mentioned in clause (a), and where appropriate, shall inform the registration or licensing or authority about the subject matter so that the relevant authority may take appropriate action against the said Organization.
- iii. Bangladesh Bank shall collect the sum of fine received under sub-section (2) under manner determined by it and the sum received shall be deposited into the State Treasury.

## 2.2. Anti-Terrorism Act 2009 (Amendment in 2012 & 2013)

Some important features of this act are given below:

### ➤ Offences Relating to Financing for Terrorist Activities (as per section 7 of ATA 2012)

- i. If any person or entity knowingly supplies or expresses the intention to supply money, service, material support or any other property to another person or entity and where there are reasonable grounds to believe that the full or partial amount of the same have been used or may be used for any purpose by an individual terrorist, terrorist entity or terrorist group or terrorist organization then he or she or the said entity shall be treated committing the offence of financing for terrorist activities.
- ii. If any person or entity knowingly receives money, services, material support or any other property from another person or entity and where there are reasonable grounds to believe that full or partial amount of the same have been used or may be used for any purpose by an individual terrorist, terrorist entity or terrorist group or terrorist organization, then he or she or the said entity shall be treated committing the offence of financing for terrorist activities.
- iii. If any person or entity knowingly makes arrangements for collecting money, services, material support or any other property for another person or entity and where there are reasonable grounds to believe that the full or the partial amount of the same have been used or may be used for any purpose by an individual terrorist, terrorist entity or terrorist group or terrorist organization then he or she or the said entity will be treated committing the offence of financing for terrorist activities.
- iv. If any person or entity knowingly instigate in such a manner, another person or entity to supply, receive, or arrange money, services, material support or any other property and where there are reasonable grounds to believe that the full or the partial amount of the same have been used or may be used for any purpose by an individual terrorist, terrorist entity or terrorist group or terrorist organization then he or she or the said entity will be treated committing the offence of financing for terrorist activities.
- v. If any person is found guilty of any of the offences set out in sub-sections (1) to (4), that person will be sentenced to imprisonment for a term between a maximum of twenty and a minimum of four years, and in addition to this a fine may be imposed not less than the greater of twice the value of the property involved with the offence or taka 10(ten) lac.

- vi. (a) If any entity is found guilty of any of the offences set out in sub-sections (1) to (4), steps may be taken under section 18 and in addition to this a fine may be imposed not less than the greater of thrice the value of the property involved with the offence or Tk.50 (fifty) lac; and
- (b) The head of such entity, Chairman, Managing Director, Chief Executive Officer whatever may be called by shall be punished with an imprisonment of a term up to maximum of 20 years and a minimum of 4 years and in addition to this a fine may be imposed the greater of twice the value of the property involved with the offence or Tk.20 (twenty) lac unless he is able to prove that the said offence was committed without his knowledge or he had tried utmost to prevent the commission of the said offence.

➤ **Powers of Bangladesh Bank**  
**(as per section 15 of ATA 2012)**

- i. Bangladesh Bank may take the necessary steps to prevent and identify any transactions carried out through any reporting organization for the purpose of committing any offence under this Act, and for this purpose, it will have the following powers and authority-
- a) Call for a report relating to any suspicious transactions from any reporting organization;
  - b) Provide the reports received under sub-section (a) to the respective law enforcement agencies for taking necessary steps or, where applicable, provide it to the foreign law enforcement agencies upon their request or, exchange information relating to the report with the foreign law enforcement agencies;
  - c) Collect and preserve of all statistics and records;
  - d) Create and maintain a database containing the reports of all suspicious transactions;
  - e) Analyze reports relating to suspicious transactions;
  - f) If there are reasonable grounds to suspect that any transaction is connected to terrorist activities issue an written order to the respective reporting organization to suspend or freeze transactions in the relevant account for a period not exceeding 30 (thirty) days. Such order may be extended for additional periods of 30 (thirty) days up to a maximum of 6 (six) months, if it appears necessary to uncover correct information relating to transactions of the account;
  - g) Monitor and supervise the activities of reporting organizations;
  - h) Give directions to reporting organizations to take preventive steps to combat the financing for terrorist activities;
  - i) Inspect reporting organizations for the purpose of identification of suspicious transactions connected to financing for terrorist activities; and
  - j) Provide training to officers and employees of reporting organizations for the purpose of identification and prevention of suspicious transactions connected to financing for terrorist activities.

- ii. Bangladesh Bank, on identification of a reporting organization or its customer as being involved in a suspicious transaction connected to financing for terrorist activities, shall inform the same to the relevant law enforcement agency and provide all necessary cooperation to the said law enforcement agency to facilitate their inquiries and investigations into the matter.
- iii. In case of offences organized in other countries under trial, Bangladesh Bank shall take steps to seize the accounts of any person or entity pursuant to any international, regional or bilateral contract, UN conventions or respective resolutions of UN Security Council ratified by the government.
- iv. The fund seized under subsection (3) shall be subject to disposal by the respective court pursuant to the respective contracts, conventions or respective resolutions of UN Security Council.
- v. In order to perform the responsibilities set out in subsections (1) to (3), governmental, semi-governmental, autonomous bodies shall provide requested information or in certain cases spontaneously provide information to the Bangladesh Financial Intelligence Unit.
- vi. The Bangladesh Financial Intelligence Unit on demand or in certain cases spontaneously provide information relating to terrorist activities or the financing for terrorist activities to the Financial Intelligence Units of other countries.
- vii. For the purpose of investigation relating to financing for terrorism law enforcement agencies shall have the right to access any document or file of any bank as per the following conditions:
  - a) with an order from an appropriate court or tribunal;
  - b) with the approval of Bangladesh Bank.

➤ **Duties of Reporting Organizations**

**(as per section 16 of ATA 2012)**

- i. Each reporting organization shall take necessary measures, exercising appropriate caution and responsibility, to prevent and identify financial transactions through them connected to any offence committed under this act and if any suspicious transaction is identified, shall spontaneously report it to the Bangladesh Bank without any delay.
- ii. The Board of Directors, or in the absence of the Board of Directors the Chief Executive Officer or whatever may be called by, of each reporting organization shall approve and issue directions regarding the duties of its officers, and will ascertain whether the directions issued by Bangladesh Bank under section 15, which are applicable to the reporting organizations, have been complied with.
- iii. If any reporting organization fails to comply with the directions issued by Bangladesh Bank under section 15 or knowingly provide any wrong information or false information or statement, the said reporting organization shall be liable to pay a fine determined and directed by Bangladesh Bank, not exceeding Tk.10 (ten) lacs and Bangladesh Bank may suspend the registration or license with a purpose to close the operation of the said agency/organization or any branch, service center,

booth or agent of that organization within Bangladesh or where applicable, shall inform the registration/licensing authority about the subject matter to take appropriate action against the organization.

- iv. If any Reporting Organization fails to pay any fine imposed by Bangladesh Bank under sub sections 3 of this Act, Bangladesh Bank may recover the amount from the reporting organizations by debiting their accounts maintained in any bank or financial institution or Bangladesh Bank. In this regard if any amount of the fine remains unrealized Bangladesh Bank may make an application before the relevant court for recovery.

#### ➤ Self-Assessment

As per BFIU circular 12 dated 29 June 2015, each FI should establish half yearly self-assessment procedure that will assess how effectively the FI's AML/CFT program is working. This procedure enables management to identify areas of risk or to assess the need for additional control mechanisms. The self-assessment should conclude with a report documenting the work performed, how it was controlled/ supervised and the resulting findings, conclusions and recommendations. The self-assessment should advise management whether the internal procedures and statutory obligations of the FI have been properly discharged. Each branch will assess its AML/CFT activities covering the following areas on half yearly basis and submit the report to CCU within next 20 days:

- The percentage of officers/employees that received official training on AML/CFT;
- The awareness of the officers/employees about the internal AML/CFT policies, procedures and programs, and Bangladesh Bank's instructions and guidelines;
- The arrangement of AML/CFT related meeting on regular interval;
- The effectiveness of the customer identification during opening an individual, corporate and other account;
- The risk categorization of customers by the branch;
- Regular update of customer profile upon reassessment;
- The monitoring of customers' transactions with their declared TP after categorizing the customers based on risk or transactions over specific limit;
- Identification of Suspicious Transaction Reports (STRs);
- The maintenance of a separate file containing MLPA, Circulars, Training Records, Reports and other AML related documents and distribution of those among all employees;
- The measures taken by the branch during opening of account of PEPs;
- Consideration of UN Sanction List while conducting any business;
- The compliance with AML/CFT weaknesses/irregularities, as the FI's Head Office and Bangladesh Bank's inspection report mentioned.

### ➤ Independent Testing Procedure

As per BFIU circular 12 dated 29 June 2015, testing is to be conducted at least annually by financial institutions' internal audit personnel, compliance department, and by an outside party such as the institution's external auditors. The test will cover the following areas:

- Branch Compliance Unit/BAMLCO;
- Knowledge of officers/employees on AML/CFT issues;
- Customer Identification (KYC) process;
- Branch's receipt of customer's expected transaction profile and monitoring;
- Process and action to identify Suspicious Transaction Reports (STRs);
- Regular submission of reports to CCU;
- Proper record keeping;
- Overall AML related activities by the branch.

The tests include interviews with employees handling transactions and interviews with their supervisors to determine their knowledge and compliance with the financial institution's anti-money laundering procedures.

- sampling of large transactions followed by a review of transaction record retention forms and suspicious transaction referral forms;
- test of the validity and reasonableness of any exemption granted by the financial institution; and
- test of the record keeping system according to the provisions of the laws. Any deficiencies should be identified and reported to senior management together with a request for a response indicating corrective action taken or to be taken and a deadline.



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## CHAPTER 3

### INTERNATIONAL AND NATIONAL INITIATIVES ON AML AND CFT

In response to the growing concern about money laundering and terrorist activities, the international community has acted on many fronts. This part of this Guideline Notes discusses the various international organizations that are viewed as the international standard setters. It further describes the documents and instrumentalities that have been developed for anti-money laundering (AML) and combating the financing of terrorism (CFT) purposes. In the line of the International Initiatives Bangladesh has also furnished a frame work and chalked out different plan & procedure for AML & CFT. BIFFL itself as a reporting organization also has furnished a frame work and chalked out different programs complying the international & national AML & CFT rules/ regulations set out by national & international organizations for the purpose.

#### A) International Initiatives

##### i. The United Nations

The United Nations (UN) was the first international organization to undertake significant action to fight money laundering on a truly world-wide basis. Some steps of United Nations against AML & CFT are mentioned below:

##### ➤ The Vienna Convention

Due to growing concern about increased international drug trafficking and the tremendous amounts of related money entering into financial system, the UN, adopted the United Nations Convention Against Illicit Traffic in Narcotic Drugs and Psychotropic Substances (1988) known as Vienna Convention, named after the city in which it was signed. The Vienna Convention deals primarily with provisions to fight the illicit drug trade and related law enforcement issues. At present, nearly 169 countries including Bangladesh are party to the convention. The convention came into force on November 11, 1990.

##### ➤ The Palermo Convention

Palermo Convention has come into force from 29th September 2003, having been signed by 147 countries and ratified by 82 countries to fight against internationally organized crimes, the UN adopted the International Convention against Transnational Organized Crime (2000), named after the city in which it was signed as Palermo Convention. The Palermo Convention specifically obligates each ratifying country to i) Criminalize money laundering and include all serious crimes as predicate offenses of money laundering ii) Establish regulatory regimes to deter and detect all forms of money laundering iii) Authorize the cooperation and exchange of information among administrative, regulatory, law enforcement and other authorities & iv) Promote international cooperation.

## ➤ International Convention for the Suppression of the Financing of Terrorism

The convention came into force on April 10, 2002, with 132 countries signing the convention and 112 countries which ratify the member countries to criminalize terrorism, terrorist organizations and terrorist acts. Under the convention, it is unlawful for any person to provide or collect funds with the (1) intent that the funds be used for, or (2) knowledge that the funds be used to, carry out any of the acts of terrorism defined in the other specified conventions that are annexed to this convention.

## ➤ Security Council Resolution 1267 and Successors

The UN Security Council has also acted under Chapter VII of the UN Charter to require member States to freeze the assets of the Taliban, Osama Bin Laden and Al-Qaeda and entities owned or controlled by them, as designated by the “Sanctions Committee” (now called the 1267 Committee).

## ➤ Security Council Resolution 1373

The UN Security Council adopted Resolution 1373, which obligates countries to criminalize actions to finance terrorism. It further obligates countries to i) deny all forms of support for terrorist groups ii) suppress the provision of safe haven or support for terrorist iii) prohibit active or passive assistance to terrorists and iv) cooperate with other countries in criminal investigations and sharing information about planned terrorist acts.

## ➤ Security Council Resolution 1540

UNSCR 1540 (2004) imposes binding obligations on all States to adopt legislation to prevent the proliferation of nuclear, chemical and biological weapons, and their means of delivery, and establish appropriate domestic controls over related materials to prevent their illicit trafficking.

## ii. The Financial Action Task Force

The Financial Action Task Force on Money Laundering (FATF), formed by G-7 countries in 1989, is an intergovernmental body whose purpose is to develop and promote an international response to combat money laundering. In October, 2001, FATF expanded its mission to include combating the financing of terrorism. FATF is a policy-making body, which brings together legal, financial and law enforcement experts to achieve national legislation and regulatory AML and CFT reforms. Currently, its membership consists of 34 countries and territories and two regional organizations. For prevention of ML & combating of TF, FATF set out 40 recommendations, a pin picture of the same is mentioned below:

### Summary of 40 recommendations of FATF

| Group | Topic                                              | Recommendations |
|-------|----------------------------------------------------|-----------------|
| A     | AML/CFT Policies and Coordination                  | 1-2             |
| B     | Money Laundering and Confiscation                  | 3-4             |
| C     | Terrorist Financing and Financing of Proliferation | 5-8             |
| D     | Preventive Measures                                | 9-23            |



| Group | Topic                                                                                 | Recommendations |
|-------|---------------------------------------------------------------------------------------|-----------------|
| E     | Transparency and Beneficial Ownership of Legal Persons and Arrangements               | 24-25           |
| F     | Powers and Responsibilities of Competent Authorities and Other Institutional Measures | 26-35           |
| G     | International Cooperation                                                             | 36-40           |

### iii. The Basel Committee on Banking Supervision

The Basel Committee on Banking Supervision (Basel Committee) was formed in 1974 by the central bank governors of the Group of Ten countries. The committee has no formal international supervisory authority or force of law. Rather, it formulates broad supervisory standards and guidelines and recommends statements of best practices on a wide range of bank/financial institution supervisory issues. These standards and guidelines are adopted with the expectation that the appropriate authorities within each country will take all necessary steps to implement them through detailed measures, statutory, regulatory or otherwise, that best suit that country's national system.

### iv. Egmont Group of Financial Intelligence Units

In 1995, a number of governmental units of different countries commonly known as Financial Intelligence Units (FIUs) began working together and formed the Egmont Group of FIUs (Egmont Group), named after the location of its first meeting at the Egmont-Arenberg Palace in Brussels with the purpose is to provide a forum for FIUs to improve support for each of their national AML programs and to coordinate AML initiatives. Bangladesh got membership in the Egmont Group in the year 2013.

### v. Asia Pacific Group on Money Laundering (APG)

The Asia/Pacific Group on Money Laundering (APG), founded in 1997 in Bangkok, Thailand, is an autonomous and collaborative international organization consisting of 40 members and a number of international and regional observers. Some of the key international organizations who participate with, and support, the efforts of the APG in the region include the Financial Action Task Force, International Monetary Fund, World Bank, OECD, United Nations Office on Drugs and Crime, Asian Development Bank and the Egmont Group of Financial Intelligence Units. APG members and observers are committed to the effective implementation and enforcement of internationally accepted standards against money laundering and the financing of terrorism, in particular the Forty Recommendations of the Financial Action Task Force on Money Laundering and Terrorist Financing.

## B) National Initiatives

In line with international efforts, Bangladesh has also taken many initiatives to prevent money laundering and combating financing of terrorism and proliferation of weapons of mass destructions considering their severe effects on the country. Bangladesh is a founding member of Asia Pacific Group on Money Laundering (APG) and has been participating annual plenary meeting since 1997.

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### **i. Founding Member of APG**

Bangladesh is a founding member of Asia Pacific Group on Money Laundering (APG) and has been participating annual plenary meeting since 1997. APG is a FATF style regional body that enforces international standards in Asia Pacific region. As a member of APG, Bangladesh is committed to implement FATF's 40 recommendations. Bangladesh has formally endorsed by the APG Membership out-of-session in September 2014 as the Co-Chair for 2018-2020. Bangladesh hosted the 13th APG Typologies Workshop in 2010.

### **ii. Legal Framework**

Bangladesh is the first country in the South Asia that has enacted Money Laundering Prevention Act (MLPA) in 2002. To address the shortcomings of the MLPA, 2002 and to meet the international standards Bangladesh enacted Money Laundering Prevention Ordinance (MLPO) in 2008 which was replaced by MLPA, 2009 by the parliament in 2009. To address the deficiencies identified in the Mutual Evaluation Report (MER), Bangladesh has again enacted Money Laundering Prevention Act in February, 2012 repealing MLPA, 2009. Money Laundering Prevention Rules, 2013 has been framed for effective implementation of the act.

Bangladesh also enacted Anti-Terrorism Ordinance (ATO) in 2008 to combat terrorism and terrorist financing. Subsequently, ATO, 2008 has repealed by Anti-Terrorism Act (ATA), 2009 with the approval of the parliament. To address the gap identified in the Mutual Evaluation Report (MER) of Bangladesh that is adopted in 2009 by APG, some provisions of ATA 2009 have been amended in 2012 and 2013. Anti-Terrorism Rules, 2013 has also been promulgated to make the role and responsibilities of related agencies clear specially to provide specific guidance on the implementation procedure of the provisions of the UNSCRs.

Bangladesh has enacted Mutual Legal Assistance in Criminal Matters Act, 2012 to enhance international cooperation on ML & TF and other related offences. The Government also enacted Mutual Legal Assistance in Criminal Matters Rules, 2013 which mainly emphasize on the process of widest possible range of providing mutual legal assistance in relation to ML & TF and other associated offences.

### **iii. Bangladesh Financial Intelligence Unit**

As per the provision of MLPA, 2012 Bangladesh Financial Intelligence Unit (BFIU) has been established abolishing AMLD as a national central agency to receive, analyze and disseminate STRs/SARs, CTRs and complaints. BFIU has been entrusted with the responsibility of exchanging information related to ML & TF with its foreign counterparts. The main objective of BFIU is to establish an effective system for prevention of money laundering, combating financing of terrorism and proliferation of weapons of mass destruction and it has been bestowed with operational independence. BFIU has also achieved the membership of Egmont Group in July, 2013.

BFIU has continued its effort to develop its IT infrastructure which is necessary for efficient and effective functioning of the unit. In this regard, it has procured GoAML software for

online reporting and software based analysis of CTRs and STRs. It also has established MIS to preserve and update all the information and to generate necessary reports using the MIS.

#### **iv. National Coordination Committee and Working Committee**

To provide guidance for effective implementation of AML & CFT regime, a National Coordination Committee headed by the Honorable Finance Minister and a Working Committee headed by the Secretary of Bank and Financial Institutions Division of Ministry of Finance were formed consisting representatives from all concerned Ministries, Agencies and regulatory authorities.

#### **v. National Strategy For Preventing ML And TF**

Bangladesh Government has developed the National Strategy for Preventing Money Laundering and Combating Financing of Terrorism 2011-2013. The strategy consists of following 12 (twelve) strategies against 12 (twelve) strategic objectives:

- a. Strengthening the legal framework;
- b. Enhancing effectiveness of the FIU;
- c. Enforcing compliance of all reporting agencies;
- d. Structural improvement and capacity building in tracing out methods, techniques and channels of money laundering and terrorist financing;
- e. Improving transparency in financial reporting on AML/CFT issues;
- f. Ensuring transparency in the ownership of legal entities;
- g. Enhancing financial inclusion;
- h. Maintaining a comprehensive AML/CFT database;
- i. Boosting national coordination both at policy and operational levels;
- j. Developing and maintaining international and regional cooperation on AML/CFT;
- k. Heightening public awareness;
- l. Stemming the illicit outflows and inflows of fund.

#### **vi. Chief Anti-Money Laundering Compliance Officers (CAMLCO) Conference**

Separate annual conferences for the Chief Anti-Money Laundering Compliance Officers (CAMLCO) of Banks, Financial Institutions, Insurance Companies and Capital Market Intermediaries are arranged by BFIU. It also arranges a number of training programs, workshops, seminars and road-shows to create awareness among the staff of reporting organizations, regulatory authorities about related issues.

#### **vii. Memorandum of Understanding (MOU) between ACC and BFIU**

Anti-Corruption Commission (ACC) and the Bangladesh Financial Intelligence Unit (BFIU) has signed a Memorandum of Understanding (MoU) on 4 May, 2014 with a view to increasing the scope of cooperation for dealing with money laundering and other financial crimes. The ACC and the BFIU have jointly undertaken various initiatives to fight against money laundering and other financial crimes.

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## CHAPTER 4

### COMPLIANCE PROGRAM

BIFFL subject to laws should establish and maintain an effective AML/CFT program that includes at least the followings:

- ✓ Development of internal policies, procedures and controls;
- ✓ Appointment of an AML/CFT Compliance Officer;
- ✓ Ongoing employee training programs; and
- ✓ Independent audit function including internal and external audit function to test the programs.

The compliance program should be documented, approved by the Board of Directors and communicated to all levels of the organization. In developing an AML/CFT compliance program, attention should be paid to the size and range of activities, complexity of operations, and the nature and degree of ML and/or TF risks associated with BIFFL.

#### 4.1. Development of Internal Policies, Procedures and Controls

##### 4.1.1 Internal Policy

BIFFL must develop, administer, and maintain its own AML/CFT policy that ensures and monitors compliance with the laws, including record keeping and reporting requirements. Such a compliance policy must be written, approved by the board of directors, and noted as such in the board meeting minutes. The written AML/CFT compliance policy at a minimum should establish clear responsibilities and accountabilities within their organizations to ensure that policies, procedures, and controls are introduced and maintained which can deter criminals from using their facilities for money laundering and the financing of terrorist activities, thus ensuring that they comply with their obligations under the Act. The policies should be tailored to the institution and would have to be based upon an assessment of the money laundering and terrorist financing risks, taking into account the financial institution's business structure and factors such as its size, location, activities, methods of payment, and risks or vulnerabilities to money laundering and terrorist financing. It should include standards and procedures to comply with applicable laws and regulations to reduce the prospect of criminal abuse. The procedures should address its Know Your Customer (KYC) policy and identification procedures before opening new accounts, monitoring existing accounts for unusual or suspicious activities, information flows, reporting suspicious transaction, hiring and training employees and a separate audit or internal control function to regularly test the program's effectiveness. It should also include a description of the roles the AML/CFT Compliance Officer(s)/Unit and other appropriate personnel will play in monitoring compliance and effectiveness of AML/CFT policies and procedures. It should develop and implement screening programs to ensure high standards when hiring employees. Implement standards for employees who consistently fail to perform in accordance with an AML/CFT framework.

BIFFL should incorporate AML/CFT compliance into job descriptions and performance evaluations of appropriate personnel. It should have the arrangements for program continuity despite changes in management or employee composition or structure. The AML/CFT policies should be reviewed regularly and updated as necessary and at least annually based on any legal/regulatory or business/operational changes, such as additions or amendments to existing AML/CFT related rules and regulations or business. In addition the policy should emphasize the responsibility of every employee to protect the institution from exploitation by money launderers and terrorist financiers, and should set forth the consequence of non-compliance with the applicable laws and the institution's policy, including the criminal, civil and disciplinary penalties and reputational harm that could ensue from any association with money laundering and terrorist financing activity. The most important element of a successful AML/CFT program is the commitment of senior management, including the chief executive officer and the board of directors, to the development and enforcement of the AML/CFT programs which can deter criminals from using their facilities for money laundering and terrorist financing, thus ensuring that they comply with their obligations under the laws.

#### **4.1.1.1 Components of Policy**

The statement of compliance policy should at a minimum include:

- ✓ A statement that all employees are required to comply with applicable laws and regulations and corporate ethical standards;
- ✓ A statement that all activities carried out by the financial institution must comply with applicable governing laws and regulations;
- ✓ A statement that compliance with rules and regulations is the responsibility of each individual in the financial institution in the normal course of their assignments. It is the responsibility of the individual to become familiar with the rules and regulations that relate to his or her assignment. Ignorance of the rules and regulations cannot be an excuse for non-compliance;
- ✓ A statement that should direct staff to a compliance officer or other knowledgeable individuals when there is a question regarding compliance matters;
- ✓ A statement that employees will be held accountable for carrying out their compliance responsibilities.

#### **4.1.1.2 Communicating the Policy**

As part of AML/CFT policy, BIFFL should communicate clearly to all employees on annual basis through a statement from the chief executive officer that clearly sets forth its policy against money laundering and any activity which facilitates money laundering or the funding of terrorist or criminal activities. Such a statement should evidence the strong commitment of the institution and its senior management to comply with all laws and regulations designed to combat money laundering and terrorist financing.

#### **4.1.2 Internal Control Mechanism**

The compliance program also relies on the variety of internal controls, including management report, built-in safeguards and exception report that keep the program working. FATF



recommendation 18 requires that financial institutions have an internal control program. The following elements should be included in the operational controls of any policy:

- Statement of responsibility for compliance with policy;
- Customer due diligence;
- Customer identification/verification;
- Additional know your customer information;
- High risk customers;
- Non face to face business (if applicable);
- Handling of politically exposed persons;
- Monitoring for suspicious transaction/activity;
- Cooperation with the authorities;
- Record keeping;
- Screening of transactions and customers;
- Training and awareness;
- Adoption of risk management practices and use of a risk-based approach.

#### 4.2. Establishment of Central Compliance Unit

To ensure compliance of the Money Laundering Prevention Act, 2012 and ATA 2009 (as amended in 2012) each financial institution will establish arrangement for internal monitoring and control through formation of a Central Compliance Unit (CCU) under the leadership of a high official at the Head Office. In order to accomplish properly the jurisdiction and function of the CCU, each financial institution will determine institutional strategy and program. CCU will issue the instructions to be followed by the branches; these instructions will be prepared on the basis of combination of issues in monitoring of transactions, internal control, policies and procedures from the point of view of preventing money laundering & terrorist financing. CCU shall be dedicated solely to FI's related responsibilities and perform the compliance functions. The responsibilities of a CCU shall include:

- a) preparing an overall assessment report after evaluating the self-assessment reports received from the branches and submitting it with comments and recommendations to the chief executive of the financial institution;
- b) preparing an assessment report on the basis of the submitted checklist of inspected branches by the Internal Audit Department on that particular quarter;
- c) Submitting a half-yearly report to BFIU within 60 days after end of a quarter.

#### 4.3. Appointment of Chief AML/CFT Compliance Officer

BIFFL must designate a Chief AML/CFT Compliance Officer (CAMLCO) at its head office who has sufficient authority to implement and enforce corporate-wide AML/CFT policies, procedures and measures. The CAMLCO will directly report to the Chief Executive Officer/Managing Director for his/her responsibility. The CAMLCO will also be responsible



to coordinate and monitor day to day compliance with applicable AML/CFT related laws, rules and regulations as well as with its internal policies, practices, procedures and controls.

#### **4.3.1 Position of CAMLCO**

The Chief AML/CFT Compliance Officer will be the head of CCU. The designated CAMLCO, directly or through CCU, should be a central point of contact for communicating with the regulatory and/or investigation agencies regarding issues related to financial institution's AML/CFT program. The position of the CAMLCO cannot be lower than the third rank in seniority in organizational hierarchy.

#### **4.3.2 Qualification and Experience**

The CAMLCO should have a working knowledge of the diverse financial products offered by the financial institutions. The person could have obtained relevant financial institutional and compliance experience as an internal auditor or regulatory examiner, with exposure to different financial institutional products and businesses. Product and financial institutional knowledge could be obtained from being an external or internal auditor, or as an experienced operational staff. The Chief AML/CFT Compliance Officer should have a minimum of seven years of working experience, with a minimum of three years at a managerial/administrative level.

#### **4.3.3 Responsibilities**

BIFFL should prepare a detailed specification of the role and obligations of the CAMLCO. Depending on the scale and nature of the financial institution the designated Chief AML/CFT Compliance Officer may choose to delegate duties or rely on suitably qualified staff for their practical performance whilst remaining responsible and accountable for the operation of the designated functions. The major responsibilities of a CAMLCO are as follows:

- i. To monitor, review and coordinate application and enforcement of the financial institution's compliance policies including AML/CFT Compliance Policy. This will include- an AML/CFT risk assessment, practices, procedures and controls for account opening, KYC procedures and ongoing account/transaction monitoring for detecting suspicious transaction/account activity, and a written AML/CFT training plan.
- ii. To monitor changes of laws/regulations and directives of Bangladesh Bank and revise its internal policies accordingly;
- iii. To respond to compliance questions and concerns of the staff and advise regional offices/branches/units and assist in providing solutions to potential issues involving compliance and risk;
- iv. To ensure that the financial institution's AML/CFT policy is complete and up-to-date, to maintain ongoing awareness of new and changing business activities and products and to identify potential compliance issues that should be considered by the financial institution;
- v. To develop the compliance knowledge of all staff, especially the compliance personnel and conduct training courses in the institution in this regard;

- vi. To develop and maintain ongoing relationships with regulatory authorities, external and internal auditors, regional/branch/unit heads and compliance resources to assist in early identification of compliance issues;
- vii. To assist in review of control procedures in the financial institution to ensure legal and regulatory compliance and in the development of adequate and sufficient testing procedures to prevent and detect compliance lapses;
- viii. To monitor the business through self-testing for AML/CFT compliance and take any required corrective action;
- ix. To manage the STR/SAR process:
  - reviewing transactions referred by divisional, regional, branch or unit compliance officers as suspicious;
  - reviewing the transaction monitoring reports (directly or together with account management personnel);
  - ensuring that internal Suspicious Activity Reports (SARs):
    - ✓ are prepared when appropriate;
    - ✓ reflect the uniform standard for- suspicious activity involving possible money laundering or terrorist financing established in its policy;
    - ✓ are accompanied by documentation of the branch's decision to retain or terminate the account as required under its policy;
    - ✓ are advised to other branches of the institution who are known to have a relationship with the customer;
    - ✓ are reported to the Chief Executive Officer, and the Board of Directors of the institution when the suspicious activity is judged to represent significant risk to the institution, including reputation risk.
  - ensuring that a documented plan of corrective action, appropriate for the seriousness of the suspicious activity, be prepared and approved by the branch manager;
  - maintaining a review and follow up process to ensure that planned corrective action, including possible termination of an account, be taken in a timely manner;
  - managing the process for reporting suspicious activity to BFIU after appropriate internal consultation.

#### 4.4. Branch Anti-Money Laundering Compliance Officer

BIFFL will appoint Branch Anti-Money Laundering Compliance Officer (BAMLCO) at each of their branches. BAMLCO will be the second man of a branch and have a minimum three year experience in related field. The responsibilities of a BAMLCO are as follows:

- i. Manage the transaction monitoring process;
- ii. Report any suspicious activity to Branch Manager, and if necessary to the CAMLCO;
- iii. Provide training to Branch staff;
- iv. Communicate to all staff in case of any changes in national or its own policy;
- v. Submit branch returns to CAMLCO timely.



#### 4.5. Responsibilities of Other Employees

The table below details the individual responsibilities of the employees of BIFFL:

| Function                                                     | Role / Responsibilities                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|--------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Staff Responsible for account opening                        | <ul style="list-style-type: none"><li>• Perform due diligence on prospective clients prior opening an account;</li><li>• Be diligent regarding the identification (s) of account holder and the transactions relating to the account;</li><li>• Ensure all required documentation is completed satisfactorily;</li><li>• Complete the KYC Profile form for the new customer;</li><li>• Ongoing monitoring of customers' KYC profile and transaction activity;</li><li>• Escalate any suspicion to the Supervisor.</li></ul> |
| Customer Service Officer                                     | <ul style="list-style-type: none"><li>• Support the Account Officer in any of the above roles;</li><li>• Perform the Account Officer's role in his/her absence.</li></ul>                                                                                                                                                                                                                                                                                                                                                   |
| Risk Management /Credit Officer/<br>Internal Control Officer | <ul style="list-style-type: none"><li>• Perform Risk Assessment for the Business;</li><li>• Perform periodic Quality Assurance on the program in the unit;</li><li>• Communicate updates in laws and internal policies.</li></ul>                                                                                                                                                                                                                                                                                           |
| Operations & Technology Manager                              | <ul style="list-style-type: none"><li>• Ensures that the required reports and systems are in place to maintain an effective program.</li></ul>                                                                                                                                                                                                                                                                                                                                                                              |
| Chief Executive Officer (CEO)                                | <ul style="list-style-type: none"><li>• Overall responsibility to ensure that the Business has an AML program in place and it is working effectively.</li></ul>                                                                                                                                                                                                                                                                                                                                                             |

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## CHAPTER 5

### CUSTOMER DUE DILIGENCE AND KYC PROCEDURE

Customer Due Diligence (CDD) combines the Know Your Customer (KYC) procedure and data or documents collected from reliable and independent sources. Considering the risks of money laundering and terrorist financing, CDD measures of BIFFL is based on:

- i. Type of customers;
- ii. Business relationship with the customers;
- iii. Type of products/services.

It may be appropriate for BIFFL to know more about the customer by being aware of the nature of the customer's business in order to assess the extent to which his transactions and activity undertaken with or through the financial institution is consistent with that business.

#### 5.1. General Rule of CDD

##### 5.1.1 Completeness and Accuracy

BIFFL is required to be certain about the customer's identity and underlying purpose of establishing relationship with the financial institution, and shall collect sufficient information up to its satisfaction. '**Satisfaction of the BIFFL**' means satisfaction of the appropriate authority that is necessary due diligence has been conducted considering the risks of the customers in the light of existing directions.

It is an obligation to maintain **complete** and **accurate** information of customers and person acting on behalf of a customer. '**Complete**' refers to combination of all information for verifying the identity of the person or entity. For example: name and detail address of the person, profession, source of funds, Passport/National Identity Card/Birth Registration Certificate/acceptable ID card with photo, phone/ mobile number etc. '**Accurate**' refers to such complete information that has been verified for accuracy.

The verification procedures establishing the identity of a prospective customer shall basically be the same whatever type of account or service is required. It would be best to obtain the identification documents from the prospective customer which is the most difficult to obtain illicitly. No single piece of identification can be fully guaranteed as genuine, or as being sufficient to establish identity, so verification will generally be a cumulative process. The overriding principle is that the financial institution must know who its customers are, and have the necessary documentary evidences to verify this.

##### 5.1.2 If CDD is not possible

Where the financial institution is unable to identify the customer and verify that customer's identity using reliable, independent source documents, data or information, unable to identify the beneficial owner taking reasonable measures, unable to obtain information on the purpose

and intended nature of the business relationship, it shall not open the account, commence business relations or perform the transaction; or shall terminate the business relationship; and shall consider making a suspicious transactions report in relation to the customer.

### 5.1.3 Ongoing CDD measures (Review and update)

BIFFL should take necessary measures to **review** and **update** the KYC of the customer after a certain interval. This procedure shall have to be conducted in every two years in case of low risk customers. Furthermore, this procedure shall have to be conducted in every year in case of high risk customers. But, the financial institution shall update the changes in any information on the KYC as soon as it gets to be informed. Moreover, the financial institution should update KYC information anytime if there is any particular necessity realized. Depending on the updated information, the risks associated with these accounts shall have to be assessed again without any delay.

Any subsequent change to the customer's name, address, or employment details of which the financial institution becomes aware shall be recorded as part of the CDD process. Generally this would be undertaken as part of good business practice and due diligence but also serves for prevention of money laundering and terrorist financing.

BIFFL shall collect the announcement of customer about the Transaction Profile of customer account in the specified form. After reviewing the nature of the customer, the source of money in the account and the nature of transaction, financial institution shall again collect the Transaction Profile along with the amendments in it from the customer by reviewing the transactions of the customer within 6 (six) months of establishing business relation and assessing the effectiveness with a logical consideration.

### 5.1.4 Enhanced Due Diligence

The financial institution shall conduct Enhanced CDD measures, when necessary, in addition to normal CDD measures. It shall conduct Enhanced Due Diligence (EDD) under the following circumstances:

- Individuals or legal entities scored with high risk;
- Individuals who are identified as Politically Exposed Persons (PEPs), Influential Persons (IPs) and chief executives or top level officials of any international organization;
- Transactions identified with unusual regards to its pattern, volume and complexity which have no apparent economic or lawful purposes;
- While establishing and maintaining business relationship and conducting transaction with a person (including legal representative, financial institution or any other institution) of the countries and territories that do not meet international standard in combating money laundering and terrorism financing (such as the countries and territories enlisted as High-Risk and Non-Cooperative Jurisdictions in the Financial Action Task Force's Public Statement).

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### 5.1.5 Enhanced Due Diligence Measures include

Obtaining additional information on the customer (occupation, volume of assets, information available through public databases, internet, etc) and updating more regularly the identification data of customer and beneficial owner.

- Obtaining additional information on the intended nature of the business relationship;
- Obtaining information on the source of funds or source of wealth of the customer;
- Obtaining information on the reasons for intended or performed transactions;
- Obtaining the approval of senior management to commence or continue the business relationship when applicable;
- Conducting regular monitoring of the business relationship, by increasing the number and timing of controls applied and selecting patterns of transactions that need further examination;
- Making aware the financial institution officials about the risk level of the customer.

### 5.1.6 Timing of CDD

The financial institution must apply CDD measures when it does any of the following:

- establishing a business relationship;
- carrying out an occasional transaction;
- suspecting money laundering or terrorist financing; or
- suspecting the veracity of documents, data or information previously obtained for the purpose of identification or verification.

## 5.2. Know Your Customer Program

KYC procedures refer knowing a customer physically and financially. This means to conduct an effective KYC, it is essential to accumulate complete and accurate information about the prospective customer. The adoption of effective KYC standards is an essential part of financial institution's risk management policies. Sound KYC Policies and Procedures not only contribute to the financial institution's overall safety and soundness, they also protect the integrity of the banking system by reducing money laundering, terrorist financing and other unlawful activities.

BIFFL in the process of designing the KYC program has included the following key elements:

- Customer Acceptance Policy;
- Properly using of Uniform Account Opening Form;
- Customer Identification & Verification;
- Customer Documentation;
- Risk Grading.

### 5.2.1 Customer Acceptance Policy

BIFFL has a separate Customer Acceptance Policy laying down explicit criteria for acceptance of customers. The primary objectives of the Customer Acceptance Policy are-

- a) to manage any risk that the services provided by the financial institution may be exposed to;
- b) to prevent the financial institution from being used, intentionally or unintentionally, for ML/TF purposes; and
- c) to identify customers who are likely to pose a higher than average risk.

### 5.2.2 Customer Identification & Verification

Customer identification is an essential part of CDD measures.

#### **Who is a customer?**

Customer is defined as under:

- any person or organization maintaining an account of any type with financial institution or having banking related business;
- the person or organization as true beneficial owner in whose favor the account is operated;
- the trustee, intermediary or true beneficial owner of the transaction of the accounts operated by the trust and professional intermediaries (such as lawyer/law firm, chartered accountant, etc.) under the existing legal infrastructure;
- any person or entity connected with a financial transaction who can pose a significant reputational or other risk to the financial institution.

The customer identification process applies naturally at the outset of the relationship. To ensure that records remain up-to-date and relevant, there is a need for the financial institution to undertake regular reviews of existing records. An appropriate time to do so is when a transaction of significance takes place, when customer documentation standards change substantially, or when there is a material change in the way that the account is operated. However, if the financial institution becomes aware of any time that it lacks sufficient information about an existing customer, it should take steps to ensure that all relevant information is obtained as quickly as possible.

Whenever the opening of an account or business relationship is being considered, or a one-off transaction or series of linked transactions is to be undertaken, identification procedures must be followed. Identity must also be verified in all cases where money laundering is known, or suspected. Once verification of identity has been satisfactorily completed, no further evidence is needed when other transactions are subsequently undertaken. Records must be maintained and information should be updated or reviewed as appropriate.

### 5.2.3 Who is a Beneficial Owner?

The definition of beneficial owner means the individual who-

- a) has effective control of a customer; or
- b) owns a prescribed threshold, 20% as per Bangladeshi regulation of the company or legal arrangements.

Identifying the beneficial ownership of a customer one must apply three elements. Any one element or any combination of these three elements satisfies beneficial ownership. These elements are:

- a. who owns 20 or more percent of a company or legal arrangements;
- b. who has effective control of the customer;
- c. the person on whose behalf a transaction is conducted.

Effective control, ownership and persons on whose behalf a transaction is conducted are not mutually exclusive. The beneficial owner must be a natural person and cannot be a company, an organization or a legal arrangement.

#### **5.2.4 Why it is Important to Identify the Beneficial Owner?**

Corporate entities such as companies, trusts, foundations, partnerships, and other types of legal persons and arrangements conduct a wide variety of commercial and entrepreneurial activities. However, despite the essential and legitimate role that corporate entities play in the economy, under certain conditions, they have been misused for illicit purposes, including money laundering (ML), bribery and corruption, insider dealings, tax fraud, terrorist financing (TF), and other unlawful activities. This is because, for criminals trying to circumvent anti-money laundering (AML) and countering the financing of terrorism (CFT) measures, corporate entities provide an attractive avenue to disguise the ownership and hide the illicit origin.

Various studies conducted by Financial Action Task Force (FATF), World Bank, United Nations Office on Drugs and Crime (UNODC) have explored the misuse of corporate entities for illicit purposes, including for ML/TF. In general, the lack of adequate, accurate and timely beneficial ownership information facilitates ML/TF by disguising:

- i. The identity of known or suspected criminals;
- ii. The true purpose of an account or property held by a corporate entities; and/or
- iii. The source or use of funds or property associated with a corporate entity.

#### **5.2.5 Ways in which Beneficial Ownership Information can be hidden/obscured**

Beneficial ownership information can be obscured through various ways, including but not limited to:

- i. Use of shell companies (which can be established with various forms of ownership structure), especially in cases where there is foreign ownership, which is spread across jurisdictions;
- ii. Complex ownership and control structures involving many layers of ownership, sometimes in the name of other legal persons and sometimes using a chain of ownership that is spread across several jurisdictions;
- iii. Bearer shares and bearer share warrants;
- iv. Use of legal persons as directors;
- v. Formal nominee shareholders and directors where the identity of the nominator is undisclosed;
- vi. Informal nominee shareholders and directors, such as close associates and family;



- vii. Trust and other legal arrangements, which enable a separation of legal ownership and beneficial ownership of assets; and
- viii. Use of intermediaries in forming legal persons, including professional intermediaries such as accountants, lawyers, notaries, trust and company service providers.

#### Work to be done for Customer Identification-

- ✓ Collecting the relevant information of identification;
- ✓ Screening the customer;
- ✓ Assessing the customer's risk profile;
- ✓ Obtaining additional information (if enhanced due diligence is believed to be required); and
- ✓ Reconfirming the information.

#### Customer Identification of Natural Persons-

- ✓ Identification information;
- ✓ Legal name;
- ✓ Correct permanent address;
- ✓ Telephone number, fax number, and e-mail address;
- ✓ Date and place of birth;
- ✓ Nationality;
- ✓ Occupation, public position held and/or name of employer;
- ✓ An official personal identification number from unexpired official documents;
- ✓ Signature; and
- ✓ Evidence of an individual's permanent address sought through a credit reference agency search or through independent verification by home visits (when EDD is applied).

#### Customer Identification of Legal Persons-

- ✓ Verification of the lawful existence of the company;
- ✓ Verification of the license if it is required in operating such business;
- ✓ Is the legal person required to observe AML/CFT controls?
- ✓ Verification of the type of legal form and business purposes;
- ✓ Location of the headquarter, branches, plants, warehouse, overseas offices; and
- ✓ Verify that any person acting on behalf of the legal person/arrangement is so authorized.

#### It is Important to obtain Sufficient Documentation to prove that the business exists

- ✓ Identify any person acting on behalf of the legal persons;
- ✓ Directors: A director exercises control over the business and thus over funds passing through the account; and
- ✓ Signatories: A signatory to an account is able to exercise control or authority over funds passing through the account.

#### Verification of Address

- ✓ Proof of delivery of thanks letter;
- ✓ Physical verification by the financial institution or by standard mail or courier service correspondence; and

- ✓ Collect any other document (recent utility bill mentioning the name and address of the customer) as per their satisfaction.

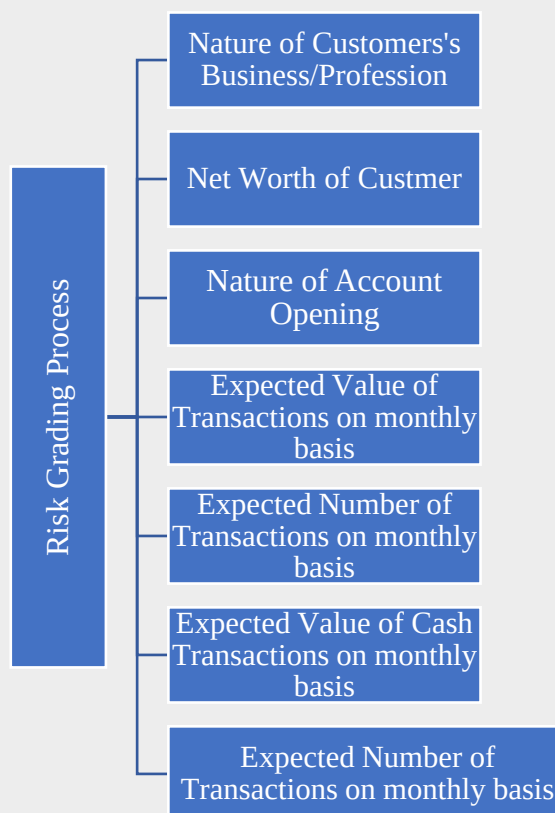
#### Verification of Source of Fund

- ✓ Present employment identity, salary certificate, pension book, financial statement, income tax return, business document or any other document that could satisfy the financial institution; and
- ✓ Tax Certificate which declares taxable income.

Verification of the information obtained must be based on reliable and independent sources – which might either be a document or documents produced by the customer, or electronically by the financial institution, or by a combination of both. Where business is conducted face-to-face, the financial institution shall see originals of any documents involved in the verification.

### 5.3. Risk Grading

When opening accounts, the concerned staff/officer must assess the risk that the accounts could be used for “money laundering”, and must classify the accounts as either High Risk or Low Risk. The risk assessment may be made using the KYC Profile Form given in which following seven risk categories are scored. The KYC Profile leads to Risk Classification of the Account as High/Low Risk.



**Note:** The Risk Grading procedure has been provided by BFIU, Bangladesh Bank. It may change from time to time as per BFIU's instruction.



### 5.3.1 Risk Grading Procedure:

i. What does the customer do/What is the Nature of the Business?

| Sl. No. | Category                                                  | Risk   | Rating |
|---------|-----------------------------------------------------------|--------|--------|
| 01      | Jewelry/Gems trade                                        | High   | 5      |
| 02      | Money Changers/Courier Service Agents                     | High   | 5      |
| 03      | Real Estate Agents                                        | High   | 5      |
| 04      | Construction promoters of projects                        | High   | 5      |
| 05      | Offshore Corporation                                      | High   | 5      |
| 06      | Art/antique dealers                                       | High   | 5      |
| 07      | Restaurant/Bar/Casino/Night club owners                   | High   | 5      |
| 08      | Import/Export agents                                      | High   | 5      |
| 09      | Garments                                                  | High   | 5      |
| 10      | Share & stock Dealer, Broker, Portfolio Manager, Merchant | High   | 5      |
| 11      | Share & stock investor                                    | High   | 5      |
| 12      | NGO/NPO                                                   | High   | 5      |
| 13      | Manpower Export Business                                  | High   | 5      |
| 14      | Film Production/Distribution Agency                       | High   | 5      |
| 15      | Arms Dealer                                               | High   | 5      |
| 16      | Mobile Phone Operator                                     | High   | 5      |
| 17      | Political Party                                           | High   | 5      |
| 18      | Club                                                      | High   | 5      |
| 19      | Society                                                   | High   | 5      |
| 20      | Trust                                                     | High   | 5      |
| 21      | Charity                                                   | High   | 5      |
| 22      | Travel Agent                                              | High   | 5      |
| 23      | Transport Operators                                       | High   | 5      |
| 24      | Auto dealers (Reconditioned cars)                         | High   | 5      |
| 25      | Computer/Mobile Phone Dealer                              | High   | 5      |
| 26      | Freight/Shipping/Cargo Agent                              | High   | 5      |
| 27      | Leasing/Finance Company                                   | Medium | 3      |
| 28      | Insurance/Brokerage Agency                                | Medium | 3      |
| 29      | Religious Organization/Agency                             | Medium | 3      |
| 30      | Amusement Organization/Park                               | Medium | 3      |
| 31      | Motor Parts Business                                      | Medium | 3      |
| 32      | Tobacco & Cigarette Business                              | Medium | 3      |
| 33      | Manufacturer                                              | Medium | 3      |
| 34      | Service (Except Salary)                                   | Medium | 3      |
| 35      | Student                                                   | Medium | 3      |
| 36      | Housewife                                                 | Medium | 3      |
| 37      | Auto Primary (new car)                                    | Low    | 2      |
| 38      | Shop owner (retail)                                       | Low    | 2      |
| 39      | Business – Agents                                         | Low    | 2      |
| 40      | Small trader (turnover less than 50 lac per annum)        | Low    | 2      |
| 41      | Business of House Building Materials                      | Low    | 2      |
| 42      | Software business                                         | Low    | 2      |
| 43      | Service (Salary Based)                                    | Low    | 1      |



| Sl. No. | Category                                                     | Risk | Rating |
|---------|--------------------------------------------------------------|------|--------|
| 44      | Retired from service                                         | Low  | 1      |
| 45      | Farmer                                                       | Low  | 1      |
| 46      | Others .....(BIFFL will categorize risk according to nature) |      |        |

(The upper limit of range for table no-2 to 7 will be considered same. Example: Tk.50 lac will be in the same class of 0– 50)

ii. Net Worth of Customer:

| Amount (Tk.)    | Risk  | Risk Rating |
|-----------------|-------|-------------|
| 1-50 Lac        | Low   | 0           |
| 50 Lac- 2 Crore | Mediu | 1           |
| >2 Crore        | High  | 3           |

iii. Nature of Account Opening:

| Nature                      | Risk Level | Risk Rating |
|-----------------------------|------------|-------------|
| Relationship manager/Branch | Low        | 0           |
| Direct Sales Agent          | Mediu      | 1           |
| Internet                    | High       | 3           |
| Unexpected/Self Motivated   | High       | 3           |

iv. Expected Value of Transactions on monthly basis:

| Transaction Amount in Current account (Tk. in | Transaction Amount in Savings | Risk Level | Risk Rating |
|-----------------------------------------------|-------------------------------|------------|-------------|
| 0-10                                          | 0-5                           | L          | 0           |
| >10-50                                        | >5-                           | Mediu      | 1           |
| >50                                           | >20                           | H          | 3           |

v. Expected Number of Transactions on monthly basis:

| No. of Transaction in Current Account | No. of Transaction in Savings Account | Risk Level | Risk Rating |
|---------------------------------------|---------------------------------------|------------|-------------|
| 0-100                                 | 0                                     | Low        | 0           |
| >100-250                              | >                                     | Medium     | 1           |
| >250                                  | >                                     | High       | 3           |

vi. Expected Value of Cash Transactions on monthly basis:

| Transaction in Current account(Tk. in Lac) | Transaction in Savings Account(Tk. in Lac) | Risk Level | Risk Rating |
|--------------------------------------------|--------------------------------------------|------------|-------------|
| 0-10                                       | 0                                          | L          | 0           |
| 10-25                                      | 2                                          | Mediu      | 1           |
| >25                                        | >                                          | H          | 3           |

vii. Expected Number of Cash Transactions on monthly basis:

| No. of Transaction in Current Account | No. of Transaction in Savings Account | Risk Level | Risk Rating |
|---------------------------------------|---------------------------------------|------------|-------------|
| 0-15                                  | 0                                     | Low        | 0           |
| 15-30                                 | 5                                     | Medium     | 1           |
| >30                                   | >                                     | High       | 3           |

viii. Overall Risk Assessment:

| Risk Rating | Risk Assessment |
|-------------|-----------------|
| >=14        | High            |
| <14         | Low             |

Comment

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#### 5.4. Persons without Standard Identification Documentation

With the passage of time it has been becoming a practice to conduct financial transactions under a relationship with some financial institution as a matter of transparency. Circumstances such as that may put socially or financially disadvantaged like the elderly, the disabled, students and minors from obtaining financial services just because they do not possess evidence of identity or address where they cannot reasonably be expected to do so. In such situations, a common sense approach and some flexibility without compromising sufficiently rigorous anti money laundering procedures shall be adopted.

Identifications documents in such cases may be accepted on production of certified copy of originals preferably having photographs on it from socially and professionally accepted persons clearly indicating his position or capacity on it together with a contact address and phone number. For students or other young people, the normal identification procedures set out above shall be followed as far as possible. Where such procedures would not be relevant, or do not provide satisfactory evidence of identity, verification may be obtained in the form of the home address of parent(s), or by making enquiries of the applicant's educational institution.

For Minors, introduction by the family members or guardian who has an existing relationship with the institution concerned will be acceptable.

#### 5.5. Walk-In/ One off Customers

The financial institution shall collect complete and correct information while serving Walk-in customer, i.e. a customer without having account. The financial institution shall know the sources of fund and motive of transaction while issuing DD/PO or serving for TT/MT.

The financial institution collects complete and correct information of any person other than customer deposit or withdrawal using on-line facilities. Additionally, with regards to on-line deposit financial institution should identify sources of funds as well.

## 5.6. Non-Face to Face Customers

The financial institution should assess money laundering and terrorist financing risks while providing service to non-face to face customers and shall develop the policy and techniques to mitigate the risks, as well as will review that time to time. Non-face to face customer refers to the customer who opens and operates his account by agent of the financial institution or by his own professional representative without having physical presence at the financial institution branch.

## 5.7. Bearer Information

The financial institution shall obtain and preserve complete and accurate information of the bearer while conducting any transaction.

## 5.8. Politically Exposed Persons (PEPs), Influential Persons (IPs) and Chief Executives or Top-Level Officials of any International Organization

Politically Exposed Persons (PEPs) (as well as their family members and persons known to be close associates) are required to be subject to undertake enhanced due diligence by a reporting organization in general. This is because international standards issued by the FATF recognize that PEP may be in a position to abuse their public office, political power for private gains and PEP may use the financial system to launder the illicit gains. As FATF says, these requirements are preventive (not criminal) in nature, and should not be interpreted as stigmatizing PEPs as such being involved in criminal activity. The FATF has categorized PEPs into 3 (three) criteria which include:

- ✓ Foreign PEPs;
- ✓ Domestic PEPs (known as Influential Persons: IPs in Bangladesh); and
- ✓ Chief or similar high-ranking positions in an international organization.

It is important to note that only foreign PEPs automatically should be treated as high risk and therefore a reporting organization should conduct Enhanced Due Diligence (EDD) in this scenario. However, EDD should be undertaken in case of domestic PEPs (Influential Persons: IPs) and PEPs of the international organization when such customer relationship is identified as higher risk.

### 5.8.1 Who are Politically Exposed Persons (PEPs)?

A politically exposed person (PEP) is defined by the FATF as an individual who is or has been entrusted with a prominent public functions which include individuals in foreign country and domestic level. So, PEPs as per the FATF Standards and IPs as per Bangladeshi regulations, are the following individuals but not limited to-

- Heads of state or government, ministers and deputy or state ministers;
- Members of parliament or of similar legislative bodies;

- Members of the governing bodies of political parties (generally only apply to the national governing bodies where a member has significant executive power, e.g. over the selection of candidates or distribution of significant party funds);
- Senior politicians;
- Members of supreme courts, of constitutional courts or of any judicial body the decisions of which are not subject to further appeal except in exceptional circumstances;
- Members of courts of auditors or of the boards of central banks;
- Ambassadors, Charges d'affairs and high-ranking officers in the armed forces;
- Head or the senior executives or members of the administrative, management or supervisory bodies or State-owned enterprises;
- Chief, directors, deputy directors and members of the board or equivalent function of an international organizations

#### Chief or similar High-Ranking positions in an International Organization

Persons who are or have been entrusted with a prominent function by an international organization refers to members of senior management, i.e. directors, deputy directors and members of the board or equivalent functions. The definition of PEPs is not intend to cover middle ranking and more junior individuals.

#### 5.8.2 Who should be considered a family member of a PEP?

Family members of a PEP shall include:

- spouse, or civil partner
- children and their spouses or civil partner
- parents

However, this is not an exhaustive list. Reporting organizations should take a proportionate and risk-based approach to the treatment of family members who do not fall into this definition. A corrupt PEP may use members of his/her wider family to launder the proceeds of corruption on his/her behalf. It may be appropriate to include a wider circle of family members (such as aunts and uncles) in cases where a reporting organization assessed a PEP to pose a higher risk. This would not apply in relation to lower risk PEPs. In low-risk situations, a reporting organization should not apply any EDD measures to someone who is not within the definition above and should apply normal customer due diligence measures. A family member of a PEP is not a PEP themselves purely as a consequence of being associated with a PEP.

#### Close associates' of a PEP

A 'known close associate' of a PEP is defined as:

- an individual known to have joint beneficial ownership of a legal entity or a legal arrangement or any other close business relationship with a PEP;
- an individual who has sole beneficial ownership of a legal entity or a legal arrangement that is known to have been set up for the benefit of a PEP.

A 'known close associate' of a PEP is not a PEP themselves purely as a consequence of being associated with a PEP. Politically Exposed Persons (PEPs), Influential Persons (IPs) and Chief Executives or Top Level Officials of any International Organization pose a higher risk of money laundering, bribery, corruption and reputational risk to the financial institution due to their current or former position of political power or influence, which makes them more vulnerable to corruption. The definitions and CDD measures of these customers are described below.

### 5.9. Know Your Customer (KYC) Procedure

Money Laundering Prevention Act, 2012 (Amendment-2015) requires all reporting agencies to maintain complete and accurate information with regard to identity of its customer during the operation of their accounts. FATF recommendation 10 states that where the financial institution is unable to identify the customer and verify that customer's identity using reliable, independent source documents, data or information, and to identify the beneficial owner, and to take reasonable measures to verify the identity of the beneficial owner and unable to obtaining information on the purpose and intended nature of the business relationship, it shall not open the account, commence business relations or perform the transaction; or shall terminate the business relationship; and shall consider making a suspicious transactions report in relation to the customer. BIFFL shall follow the above observations/ recommendations in conducting KYC procedure.

### 5.10. Know Your Customers' Customers (KYCC)

Simultaneously, BIFFL shall obtain minimum number of information, data & documents regarding true identification of the customer's customers along with its sources of funds/ nature of business to set up an effective preventive measures. Screening of management, beneficiaries, major vendors/ suppliers and others interested parties shall be done at the proposal stage of an investment while developing a business relation or providing investment facilities.



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## CHAPTER 6

### CUSTOMER ACCEPTANCE POLICY

#### 6.1. Customer Acceptance Policy

BIFFL has developed a clear Customer Acceptance Policy laying down explicit criteria for acceptance of customers. It is very important so that inadequate understanding of a customer's background and purpose for utilizing a product/service may not expose the FI to a number of risks. The Management of BIFFL has developed the Customer Acceptance Policy which is outlined as under:

- i. No account shall be opened in anonymous or fictitious name;
- ii. No account shall be opened without having complete and accurate information of the customer, as per the uniform account opening form;
- iii. Customers' risk must be assessed as per parameters of risk perception as clearly defined in KYC Profile Form (nature of business activity, net wealth, account type, transaction profile, location of customer and his clients, mode of payments, volume of turnover, social and financial status etc. to enable categorization of customers into low, medium and high risk);
- iv. The Branch shall not open an account (or shall close an existing account), where the financial institution is unable to apply appropriate customer due diligence measures i.e. the Branch is unable to verify the identity and/or obtain documents required due to non-cooperation of the customer or non-reliability of the data/information furnished to the Branch. But the Branch must be careful to avoid unnecessary harassment of the customer;
- v. If it becomes necessary to close an existing account due to non-cooperation of the customer in providing necessary documents/information required by law/regulatory authority or non-reliability of the information/documents furnished by the customer, the Branch must be vigilant in doing so. For example, decision to close an account shall be taken at a reasonably high level after giving due notice to the customer explaining the reasons for such a decision;
- vi. Enhanced Due Diligence (EDD) shall have to be exercised while opening and/or operating account of High Risk Customers, such as-Politically Exposed Persons (PEPs)/Influential Persons (IPs)/Head of International Organization. Instructions outlined in the BFIU Circular No. 10 dated 28 December, 2014 shall have to be followed to ensure Enhanced Due Diligence, while opening and operating the account of the said persons;
- vii. Source of funds, income or wealth and complete information on the actual or beneficial owners must be obtained at the time of opening of any account;
- viii. No account in the name of any person or entity listed under United Nations Security Council Resolutions (UNSCRs) or their close alliance adopted under Chapter VII of the

- Carter of UN on suspicion of involvement in terrorist or terrorist financing activities and proscribed or enlisted by Bangladesh Government shall be opened or operated;
- ix. In case of establishing correspondent banking relationship, the Branch/concerned division/department shall follow the guidelines as mentioned in the BFIU Master Circular No. 10 dated 28 December, 2014 of Bangladesh Bank;
  - x. The Branch shall verify the identity of the customer using reliable sources, documents etc. but it must retain copies of all references, documents used to verify the identity of the customer;
  - xi. The financial institution shall not establish or continue a correspondent banking relationship with any shell bank. [Here shell bank refers to such banks as are incorporated in a jurisdiction where it has no branches or activities and which is unaffiliated with a regulated financial group];
  - xii. The Branches shall meticulously comply the due identification procedure for their customers availing locker service;
  - xiii. In case of minors, Legal Guardian on behalf of minor can open account. KYC have to be obtained for both, source of income and their relationship shall be confirmed;
  - xiv. In case of NGO/Charities, Trusts, Club or Association, the financial institution shall-obtain a declaration from Governing Body/Board of Trustees/ Executive Committee /sponsors on ultimate control, purpose and source of funds etc.; obtain an undertaking from Governing Body/Board of Trustees/Executive Committee/sponsors to inform the financial institution about any change of control or ownership during operation of the account; and obtain a fresh Resolution of the Governing Body/Executive Committee of the entity in case of change in person(s) authorized to operate the account;
  - xv. In case of Non-Resident Bangladeshi & foreign national, the following matters shall be ensured for CDD:
    - Board of Investment (BOI) permission with regard to foreign owners;
    - Bangladesh Bank permission with regard to foreign owners;
    - Necessary work permit;
    - NSI clearance;
    - RJSC in case of limited company;
    - Guideline for Foreign Exchange Transaction to be followed meticulously.

Mentionable here that all the officers of the financial institution shall keep it in mind that the customer identification process is an ever going process and does not end at the point of application. When an account relationship has been established, reasonable steps shall be taken by the Branch from time to time to ascertain that descriptive information is kept updated. It is also mentionable that, the customer acceptance policy of the financial institution shall not be used against the disadvantaged people or the people who have not proper identification document. A customer acceptance policy shall encourage the ultimate goal of transparent, accountable and inclusive financial system in Bangladesh.

## 6.2. Screening System of BIFFL

Sanctions Screening is the process of reviewing various international sanction list or local black lists to check if any investor/client in the financial institution's Fund/business is involved in financing crime or terrorism, so that the financial institution can take the appropriate action. Sanctions are used for a number of purposes, including pressurizing a particular country or regime or financial institution to change their behavior, or to prevent terrorist financing. There are many different types of international sanctions including travel bans, asset freezes, trade embargoes and other restrictions which are being imposed by United Nations, Office of Foreign Assets Control (OFAC), USA, European Union, OFSI under HM Treasury, UK etc. at international level. Besides, any blacklist from local regulatory authorities or adverse media reports shall be screened to detect or deter Money Laundering and Terrorist Financing & Proliferation Financing. BIFFL shall establish an automated screening system which will compulsorily comply/ screen the UN sanction in international level along with other international sanctions as and when required as well as national/internal sanctions/ blacklists while establishing new business relationship or providing any banking facility to the existing customers.

## 6.3. Shell Bank

BIFFL does not allow transaction with Shell Bank. A Shell bank is a corporate entity that looks like bank but is not really bank. The purpose is to deceive others into thinking the company is a bank. It conceals the identity of the beneficial owner of the funds, and the company records are often more difficult for law enforcement to access because they have no physical presence in any country.

## 6.4. Customer Rejection Policy

BIFFL is strongly committed to ensure meticulous compliance of AML & CFT issues of the financial institution under the purview of local and global regulatory stipulations/bindings. As such, BIFFL has adopted a policy that shall deter establishing new business relationship or providing banking services or facilities to the existing customers if he/she/it is fallen under following criteria:

- No account will be opened in anonymous or numbered or fictitious name(s);
- No account will be opened through on-line beyond physical presence of a customer inside Bangladesh;
- No account will be opened & operated in the name of persons/ institutions included in the UN sanction list, OFAC sanction list, and local Govt. black list, etc.;
- No account will be opened in the name of license less Bank/ Financial Institution/ Money Changer;
- Unwilling Customer to provide required information/data;
- Internally black listed clients;
- Customers under frequent STR/ SAR shall be barred from opening another new account in any branch of BIFFL;
- Customers listed by Bangladesh Bank as the fraudster one shall not be allowed to open any account with BIFFL.

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## CHAPTER 7

### RISK MANAGEMENT PROCESS

The risk of money laundering or terrorist financing is defined as the risk of abuse of the financial system by the customer for money laundering or terrorist financing and the risk that some business relation, transaction or product may be used directly or indirectly for money laundering and terrorist financing. Recommendation 1 of Financial Action Task Force (FATF), the international standard setter on Anti-Money Laundering (AML) and Combating Financing in Terrorism (CFT) requires financial institutions and designated non-financial businesses and professions (DNFBPs) to identify, assess and take effective action to mitigate their money laundering and terrorist financing risks.

#### 7.1. Assessing the Risk Involves

A risk assessment is the first step a business must take before developing an anti-money laundering and countering the financing of terrorism program. It involves identifying and assessing the risks the business reasonably expects to face from money laundering and financing of terrorism. Once a risk assessment is completed, a business can then put in place a program that minimizes or mitigates these risks.

- Identifying aspects of business that may be susceptible to ML/TF; then
- Considering each of the at-risk areas we have identified, analyzing the likelihood that business will be used for ML/TF.

#### 7.2. Risk Assessment Methodology

There are two risk types: Business Risks and Regulatory Risks. To identify and assess money laundering and terrorist financing risks the financial institution must consider all of the following:

##### 7.2.1 Business Risk

Business risk is the risk that our business may be used for ML & TF.

**The types of customers it deals with:**

**(a) Some categories of customers pose a higher risk of ML/TF including:**

- customers involved in occasional or one-off transactions above a certain threshold;
- customers who use complex business structures that offer no apparent financial benefits;
- customers who are Politically Exposed Persons (PEPs);
- customers who are Influential Persons (IPs);

- customers involved in cash-intensive businesses, who may be used by criminals to mask illegally obtained funds;
- customers involved in businesses with high levels of corruption (e.g. arms dealing);
- customers whose origin of wealth and/or source of funds cannot be easily verified;
- customers of a type that have been identified as higher risk.

**(b) Categories of customers whose features may indicate a lower risk include:**

- customers who are employed and receive a regular source of income from a known source (e.g. salaried persons, pensioners, benefit recipients);
- customers with a long-term and active business relationship with the financial institution.

**(c) The nature, size and complexity of its business:**

- The size and complexity of a business plays an important role in how attractive or susceptible it is for ML/TF;
- For example, because a large business is less likely to know its customers personally, it could offer a greater degree of anonymity than a small business. Likewise, a business that conducts complex transactions across international jurisdictions could offer greater opportunities to money launderers than a purely domestic business.

**(d) The products and services it offers:**

In case of offering product the financial institution should ask the following questions from being misused for money laundering or terrorism financing:

- Does the product allow payments to third parties?
- Does the product commonly involve receipt or payment in cash?
- Does the product allow customer anonymity? In order to evade detection by law enforcement authorities, criminals will seek out products that permit their identity to remain unknown.
- Does the business offer any products or services that have been identified as higher risk?
- Does your business only offer low-risk superannuation products?

**(e) The way it delivers its products and services:**

- Does the business have non-face-to-face customers (via post, telephone, internet, etc.)?
- Does the business have indirect relationships with customers (via intermediaries, pooled accounts, etc.)?

**(f) The countries it deals with:**

The financial institution should more cautious during transaction with following countries:

- countries subject to United Nations sanctions embargoes or similar measures;
- countries identified by credible sources as supporting TF;
- countries identified by credible sources as having significant levels of corruption;
- countries that are associated with drug production and/or trans-shipment.

**(g) The institutions it deals with:**

- Does the business deal with other financial institutions which are either unregulated, shell companies or shell banks? Such institutions are more likely to be used for ML/TF or could be operated by criminals for ML/TF.

### 7.2.2 Regulatory risk

Regulatory risk is associated with not meeting all obligations of financial institution under the Money Laundering Prevention Act, 2012, Anti-Terrorism Act, 2009 (including all amendments), the respective Rules issued under these two acts and instructions issued by BFIU.

Examples of some of these risks include:

- ✓ customer verification performed incorrectly;
- ✓ failing to train staff adequately;
- ✓ not having an AML/CFT program;
- ✓ failing to report suspicious matters;
- ✓ not doing an AML/CFT compliance report;
- ✓ not appointing an AML/CFT Compliance Officer.

### 7.3. Risk Management Process

Risk management is a systematic process of recognizing risk and developing methods to both minimize and manage the risk. This requires the development of a method to identify, prioritize, treat (deal with), control and monitor risk exposures. In risk management, a process is followed where the risks are assessed against the likelihood (chance) of them occurring and the severity or amount of loss or damage (impact) which may result if they do happen.

### 7.4. Risk Management Framework

**A risk management framework would consist of:**

- a) Establishing the internal and external context within which the designated service is, or is to be, provided. These may include the types of customers, the nature, scale, diversity and complexity of their business, the number of customers already identified as high risk, the jurisdictions the financial institution is exposed to, the distribution channels, internal audit and regulatory findings, the volume & size of its transactions etc.;
- b) Risk identification;
- c) Risk assessment or evaluation; and
- d) Risk treatment (mitigating, managing, control, monitoring and periodic reviews).

**Figure: The risk management framework at a glance**

✓ **Risk identification: Identify the main ML/TF risks:**

- Customers
- products & services
- business practices/delivery methods or channels
- country/jurisdiction

**Identify the main regulatory risks:**

- Failure to report STRs/SARs
- Inappropriate customer verification
- Inappropriate record keeping
- Lack of AML/CFT program

✓ **Risk assessment/measurement**

**Measure the size & importance of risk:**

- likelihood – chance of the risk happening
- impact – the amount of loss or damage if the risk happened
- $\text{likelihood} \times \text{impact} = \text{level of risk (risk score)}$

✓ **Risk treatment**

**Manage the business risks:**

- minimize and manage the risks
- apply strategies, policies and procedures

**Manage the regulatory risks:**

- put in place systems and controls
- carry out the risk plan & AML/CFT program

✓ **Risk monitoring and review**

**Monitor & review the risk plan:**

- develop and carry out monitoring process
- keep necessary records
- review risk plan and AML/CFT program
- do internal audit or assessment
- do AML/CFT compliance report

## 7.5. Calculation of Risk Score

The measurement of the size & importance of risk is shown below in table:

- Likelihood- chance of the risk happening
- Impact- the amount of loss or damage if the risk happened
- Likelihood  $\times$  impact = level of risk (risk score)

Risk is a function of the likelihood of occurrence of risk events and the impact of risk events. The likelihood of occurrence is a combination of threat and vulnerability, or in other words, risk events occur when a threat exploits vulnerability. Accordingly, the level of risk can be mitigated by reducing the size of the threats, vulnerabilities, or their impact.

Therefore each risk element can be rated by:

- the chance of the risk happening- ‘likelihood’
- the amount of loss or damage if the risk happened- ‘impact’ (consequence).

Using scales of likelihood and impact within a risk matrix will allow combining the two separate measures to generate a matrix of risk scores.

### Likelihood Scale

A likelihood scale refers to the potential of an ML&TF risk occurring in the business for the particular risk being assessed. Three levels of risk are shown in below table.

Table: Likelihood Scale

| Frequency   | Likelihood of an ML&TF risk                                 |
|-------------|-------------------------------------------------------------|
| Very likely | Almost certain: it will probably occur several times a year |
| Likely      | High probability it will happen once a year                 |
| Unlikely    | Unlikely, but not impossible                                |

### Impact Scale

An impact scale refers to the seriousness of the damage (or otherwise) which could occur should the event (risk) happen.

In assessing the possible impact or consequences, the assessment can be made from several viewpoints. Following is a list of ideas. It does not cover everything and it is not prescriptive. Impact of an ML&TF risk could, depending on financial institution’s business circumstances, be rated or looked at from the point of view of:

- ✓ how it may affect the business (if through not dealing with risks properly the financial institution suffers a financial loss from either a crime or through fines from BFIU or regulator);
- ✓ the risk that a particular transaction may result in the loss of life or property through a terrorist act;



- ✓ the risk that a particular transaction may result in funds being used for any of the following: corruption and bribery, counterfeiting currency, counterfeiting deeds and documents, smuggling of goods/workers/immigrants, banking offences, narcotics offences, psychotropic substance offences, illegal arms trading, kidnapping, terrorism, theft, embezzlement, or fraud, forgery, extortion, smuggling of domestic and foreign currency, black marketing;
- ✓ the risk that a particular transaction may cause suffering due to the financing of illegal drugs;
- ✓ reputational risk- how it may affect the financial institution if it is found to have (unknowingly) aided an illegal act, which may mean government sanctions and/or being shunned by the community of customers;
- ✓ how it may affect the wider community of customers if it is found to have aided an illegal act; the community may get a bad reputation as well as the business.

Three levels of impact are shown in table:

Table: Impact Scale

| Consequence | Impact- of an ML/TF risk                                                                          |
|-------------|---------------------------------------------------------------------------------------------------|
| Major       | Huge consequences- major damage or effect. Serious terrorist act or large-scale money laundering. |
| Moderate    | Moderate level of money laundering or terrorism financing impact.                                 |
| Minor       | Minor or negligible consequences or effects.                                                      |

### Risk Matrix and Risk Score

Use the risk matrix to combine LIKELIHOOD and IMPACT ratings and values to obtain a risk score. The risk score may be used to aid decision making and help in deciding what action to take in view of the overall risk. How the risk score is derived can be seen from the sample risk matrix and risk score table shown below. Four levels of risk level or score are shown in the matrix and table below.

#### Figure: Risk Matrix

Threat level for ML/TF risk

|            |             | IMPACT      |             |              |
|------------|-------------|-------------|-------------|--------------|
| LIKELIHOOD | Very Likely | Medium<br>2 | High<br>3   | Extreme<br>4 |
|            | Likely      | Low<br>1    | Medium<br>2 | High<br>3    |
|            |             |             |             |              |
|            | Unlikely    | Low<br>1    | Low<br>1    | Medium<br>2  |

Table: Risk Score

| Rating    | Impact- of an ML/TF risk                                                                                                                                           |
|-----------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 4 Extreme | Risk almost sure to happen and/or to have very serious consequences.<br><b>Response:</b> Do not allow transaction to occur or reduce the risk to acceptable level. |
| 3 High    | Risk likely to happen and/or to have serious consequences.<br><b>Response:</b> Do not allow transaction until risk reduced.                                        |
| 2 Medium  | Possible this could happen and/or have moderate consequences.<br><b>Response:</b> May go ahead but preferably reduce risk.                                         |
| 1 Low     | Unlikely to happen and/or have minor or negligible consequences.<br><b>Response:</b> Okay to go ahead.                                                             |

### Risk Assessment and Management Exercise

From the above discussion, we may have an idea to calculate risk score by blending likelihood and impact, the risk matrix and risk score and can assess the risks of individual customer, product/service, delivery channel and risks related to geographic region. It can also fix up its necessary actions against the particulars outcomes of risks.

Once threat levels and risk scores have been allocated they can be entered in the risk management worksheet (Table 5) against the risk that it represents.

### 7.6. Risk Register of BIFFL

Considering the Nature of customers, products & services, delivery channels, BIFFL shall identify the ML & TF Risks and shall formulate the action plan as per the risk grade to mitigate the same in its formulated Risk Register. This Risk Register of BIFFL shall show the Risks, Likelihood, Impact Scale, Risk Score & Grade and Action Plan there against adopted/ chalked out by the FI which is mentioned below:

#### RISK REGISTER

| Risk             | Likelihood | Impact | Risk Score  | Treatment/Action                                                                                                                                      |
|------------------|------------|--------|-------------|-------------------------------------------------------------------------------------------------------------------------------------------------------|
| A new customer   | Unlikely   | Minor  | 1<br>Low    | i) CDD shall be applied properly;<br>ii) EDD shall also be applied for high risky clients & accounts opened without physical presence of the clients. |
| Walk-in customer | Unlikely   | Minor  | 2<br>Medium | i) Obtaining proper KYC of the beneficiary;<br>ii) Reporting STR/SAR if suspicious anything found;                                                    |

| Risk                                                                                                                    | Likelihood | Impact   | Risk Score  | Treatment/Action                                                                                                                                                                                                                                                                                                                     |
|-------------------------------------------------------------------------------------------------------------------------|------------|----------|-------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                                                                         |            |          |             | iii) May go ahead but preferably reduce risk.                                                                                                                                                                                                                                                                                        |
| Non-Resident customer (Bangladeshi)                                                                                     | Unlikely   | Major    | 2<br>Medium | i) CDD shall be done;<br>ii) Verification of necessary papers/ documents including work permit, passport & visa;<br>iii) Transaction monitoring shall be done;<br>iv) STR shall be submitted to BFIU if any transaction found suspicious;<br>v) May go ahead but preferably reduce risk.                                             |
| A new customer who wants to carry out a large transaction (i.e. transaction above CTR threshold or below the threshold) | Unlikely   | Moderate | 2<br>Medium | i) CDD shall be applied properly;<br>ii) Verifying the genuineness of the data/ information of the client;<br>iii) Transaction monitoring shall be done;<br>iv) STR shall be submitted to BFIU if any transaction found suspicious;<br>v) May go ahead but preferably reduce risk.                                                   |
| Customer involved in outsourcing business                                                                               | Unlikely   | Major    | 2<br>Medium | i) Customer involved in outsourcing business;<br>ii) CDD shall be applied properly;<br>ii) Verifying the genuineness of the data/ information of the client;<br>iii) Transaction monitoring shall be done;<br>iv) STR shall be submitted to BFIU if any transaction found suspicious;<br>v) May go ahead but preferably reduce risk. |
| Customer appears to do structuring to avoid reporting threshold                                                         | Likely     | Moderate | 2<br>Medium | i) EDD shall be applied properly for the clients & also outsource partners;<br>ii) Transaction monitoring shall be done;<br>iii) STR shall be submitted to BFIU if any transaction found suspicious;                                                                                                                                 |



| <b>Risk</b>                                                                                                     | <b>Likelihood</b> | <b>Impact</b> | <b>Risk Score</b> | <b>Treatment/Action</b>                                                                                                                                                                                                                                                                                                                                                   |
|-----------------------------------------------------------------------------------------------------------------|-------------------|---------------|-------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                                                                 |                   |               |                   | iv) May go ahead but preferably reduce risk.                                                                                                                                                                                                                                                                                                                              |
| Customer appears to have account with several financial institutions in the same area                           | Likely            | Moderate      | 2<br>Medium       | i) CDD shall be applied properly for the clients & also outsource partners;<br>ii) Transaction monitoring shall be done;<br>iii) STR shall be submitted to BFIU if any transaction found suspicious;<br>iv) May go ahead but preferably reduce risk.                                                                                                                      |
| Customer who shows curiosity about internal systems, controls and policies on internal and regulatory reporting | Unlikely          | Major         | 2<br>Medium       | i) CDD shall be applied properly;<br>ii) Activities & Transaction of the client will be monitored;<br>iii) STR/ SAR shall be filed if any transaction found suspicious;<br>iv) May go ahead but preferably reduce risk.                                                                                                                                                   |
| Customer is the subject of a Money Laundering or Financing of Terrorism investigation by the order of the court | Likely            | Major         | 3<br>High         | i) Business relationship shall not be established;<br>ii) For existing client, information shall be provided the regulatory Authority through STR/ SAR.<br>iii) Do not allow transaction until risk reduced.                                                                                                                                                              |
| Negative news about the customers' activities/ business in media or from other reliable sources                 | Likely            | Major         | 3<br>High         | i) No such customer to be onboarded until risk is reduced. For existing customers<br>ii) CDD/ EDD shall be applied properly;<br>iii) Court order/ instruction shall be followed;<br>iv) Transaction & activities of the client shall be monitored;<br>v) STR/ SAR shall be filed if any transaction found suspicious;<br>vi) Do not allow transaction until risk reduced. |



| <b>Risk</b>                                                                                                                | <b>Likelihood</b> | <b>Impact</b> | <b>Risk Score</b> | <b>Treatment/Action</b>                                                                                                                                                                                                                                                                      |
|----------------------------------------------------------------------------------------------------------------------------|-------------------|---------------|-------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Customer is secretive and reluctant to meet in person                                                                      | Likely            | Major         | 3<br>High         | i) No business relationship will be made with such client;<br>ii) Do not allow transaction until risk reduced.                                                                                                                                                                               |
| Customer is a mandate who is operating account on behalf of another person/company                                         | Likely            | Major         | 3<br>High         | i) CDD/ EDD shall be applied properly;<br>ii) Transaction & activities of the client shall be monitored;<br>iii) STR/ SAR shall be filed if any transaction found suspicious.                                                                                                                |
| Customers about whom BFIU seeks information (individual)                                                                   | Likely            | Major         | 3<br>High         | i) EDD shall be applied;<br>ii) Transaction & activities of the client shall be monitored;<br>iii) STR/ SAR shall be filed if any transaction found suspicious.                                                                                                                              |
| A customer whose identification is difficult to check.                                                                     | Likely            | Major         | 3<br>High         | i) Business relationship shall not be established;<br>ii) For existing client, information shall be provided to the regulators through STR/ SAR;<br>iii) Transaction shall be closely monitored.<br>iv) Do not allow transaction until risk reduced.                                         |
| Significant and unexplained geographic distance between the financial institution/ branch and the location of the customer | Likely            | Moderate      | 2<br>Medium       | i) CDD shall be done properly;<br>ii) Proper justification for opening of such account shall be obtained from the client;<br>iii) Constant Transaction monitoring;<br>iv) STR shall be submitted to BFIU if any transaction found suspicious;<br>v) May go ahead but preferably reduce risk. |
| Customer is a foreigner                                                                                                    | Likely            | Moderate      | 2<br>Medium       | i) EDD shall be applied;<br>ii) Permission shall be obtained from competent authority of the financial institution;<br>iii) Transaction shall be monitored;<br>iv) STR/ SAR shall be submitted to                                                                                            |

| <b>Risk</b>                                                                                                                                                                                | <b>Likelihood</b> | <b>Impact</b> | <b>Risk Score</b> | <b>Treatment/Action</b>                                                                                                                                                                                                                                                                                                                                                                    |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------|---------------|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                                                                                                                                            |                   |               |                   | BFIU if any transaction found suspicious;<br>v) May go ahead but preferably reduce risk.                                                                                                                                                                                                                                                                                                   |
| Customer is Housewife                                                                                                                                                                      | Likely            | Moderate      | 2<br>Medium       | i) Proper CDD shall be applied;<br>ii) CDD shall also be applied for Beneficial Owner;<br>iii) Transaction shall be monitored;<br>iv) STR/ SAR shall be submitted to BFIU if any transaction found suspicious;<br>v) May go ahead but preferably reduce risk.                                                                                                                              |
| Customers that are politically exposed persons (PEPs) or Influential Persons (IPs) or Chief/ Senior officials of international organizations and their family members and close associates | Likely            | Major         | 3<br>High         | i. EDD shall be applied;<br>ii. Permission shall be obtained from competent authority of the financial institution;<br>iii. The official approval letter to open the account shall be obtained in case of Foreign PEPs;<br>iv. Client's source of fund shall be verified;<br>v. Transaction shall be monitored;<br>vi. STR shall be submitted to BFIU if any transaction found suspicious. |
| Customer dealing in high value or precious goods (e.g. jewel, gem and precious metals dealers, art and antique dealers and auction houses, estate agents and real estate brokers)          | Likely            | Major         | 3<br>High         | i) EDD shall be applied;<br>ii) Verifying the genuineness of the data/ information of the client;<br>iii) Transaction monitoring shall be done;<br>iv) STR shall be submitted to BFIU if any transaction found suspicious.                                                                                                                                                                 |
| Customer is involved in business defined as high risk in KYC profile                                                                                                                       | Likely            | Moderate      | 2<br>Medium       | i) EDD shall be done;<br>ii) Transaction shall be monitored;<br>iii) STR shall be submitted to BFIU if any transaction found suspicious;                                                                                                                                                                                                                                                   |

| <b>Risk</b>                                                                            | <b>Likelihood</b> | <b>Impact</b> | <b>Risk Score</b> | <b>Treatment/Action</b>                                                                                                                                                                                                                                                                                                                                                                                                    |
|----------------------------------------------------------------------------------------|-------------------|---------------|-------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| by BFIU, but not mentioned above.                                                      |                   |               |                   | iv) May go ahead but preferably reduce risk.                                                                                                                                                                                                                                                                                                                                                                               |
| Customer has been refused to provide loan facilities by another financial institution. | Likely            | Moderate      | 2<br>Medium       | i) Sufficient information of the client shall be collected through proper verification;<br>ii) EDD shall be applied;<br>iii) Proper justification of such refusal by the client shall be obtained;<br>iv) Information from other financial institutions shall be collected;<br>v) Transaction shall be monitored;<br>vi) STR shall be done, if anything found suspicious;<br>vii) May go ahead but preferably reduce risk. |
| Customers with complex accounting and huge transaction                                 | Likely            | Moderate      | 2<br>Medium       | i) EDD shall be applied;<br>ii) Constant Monitoring of transactions;<br>iii) Evaluating the Risk Grading;<br>iv) STR/ SAR shall be filed if suspicious anything is found;<br>v) May go ahead but preferably reduce risk.                                                                                                                                                                                                   |
| Entity customer having operations in multiple locations.                               | Likely            | Moderate      | 2<br>Medium       | i) CDD shall be applied;<br>ii) Transaction shall be monitored;<br>iii) STR shall be filed if suspicious anything is found;<br>iv) May go ahead but preferably reduce risk.                                                                                                                                                                                                                                                |
| Customers about whom BFIU seeks information (large corporate)                          | Likely            | Major         | 3<br>High         | i) EDD shall be applied;<br>ii) Transaction & activities of the client shall be monitored;<br>iii) STR/ SAR shall be filed if any transaction found suspicious.                                                                                                                                                                                                                                                            |
| Owner of the entity that are Influential Persons (IPs) and their family                | Likely            | Moderate      | 2<br>Medium       | i) Permission shall be obtained from competent authority;<br>ii) EDD shall be applied;<br>iii) Client's source of fund shall be verified;                                                                                                                                                                                                                                                                                  |

| <b>Risk</b>                                                                                                 | <b>Likelihood</b> | <b>Impact</b> | <b>Risk Score</b> | <b>Treatment/Action</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
|-------------------------------------------------------------------------------------------------------------|-------------------|---------------|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                                                             |                   |               |                   | iv) Transaction shall be monitored<br>v) STR shall be submitted to BFIU if any transaction found suspicious;<br>vi) May go ahead but preferably reduce risk.                                                                                                                                                                                                                                                                                                                                                                               |
| A new customer who wants to carry out a large transaction. (i.e. transaction amounting 10 million or above) | Likely            | Moderate      | 2<br>Medium       | i) CDD shall be applied properly;<br>ii) Verifying the genuineness of the data/ information of the client;<br>iii) Transaction monitoring shall be done;<br>iv) STR shall be submitted to BFIU if any transaction found suspicious;<br>May go ahead but preferably reduce risk.                                                                                                                                                                                                                                                            |
| A customer whose identification is difficult to check                                                       | Likely            | Moderate      | 2<br>Medium       | i) Business relationship shall not be established;<br>ii) For existing client, information shall be provided the regulatory authority through STR/ SAR;<br>iii) May go ahead but preferably reduce risk.                                                                                                                                                                                                                                                                                                                                   |
| Syndication Financing                                                                                       | Likely            | Moderate      | 2<br>Medium       | i) Approval shall be obtained from the competent Authority for sanctioning limit;<br>ii) Proper KYC shall be done at the time of new induction/ renewal of the limit;<br>iii) Physical visit/ verification of the client's personal/ business information/ establishment to assess his net worth;<br>iv) Proper documentation shall be ensured;<br>v) Constant monitoring and follow up to recover the fund;<br>vi) STR shall be done if any illegal fund transfer/ transaction detected;<br>vii) May go ahead but preferably reduce risk. |



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## CHAPTER 8

### RECORD KEEPING

Record keeping is an essential component of the audit trail that the Laws and Regulations seek to establish in order to assist in any financial investigation and to ensure that criminal funds which are kept out of the financial system, or if not, that they may be detected and confiscated by the authorities.

BIFFL must retain records concerning customer identification and transactions as evidence of the work they have undertaken in complying with their legal and regulatory obligations, as well as for use as evidence in any investigation conducted by law enforcement.

#### 8.1. Statutory Requirement

The requirement contained in Section 25 (1) of Money Laundering Prevention Act, 2012, to retain correct and full records of customers' identification and transactions while operating an account of a customer, and to retain the records of customers' identification and transactions at least for five years after closing of relationships with the customers are essential constituents of the audit trail that the law seeks to establish.

FATF recommendation 11 states that financial institutions should maintain, for at least five years, all necessary records on transactions, both domestic and international, to enable them to comply swiftly with information requests from the competent authorities. Such records must be sufficient to permit reconstruction of individual transactions (including the amounts and types of currency involved, if any) so as to provide, if necessary, evidence for prosecution of criminal activity. The records prepared and maintained by any FI on its customer relationship and transactions should be such that:

- requirements of legislation and Bangladesh Bank directives are fully met;
- competent third parties will be able to assess the institution's observance of money laundering policies and procedures;
- any transactions effected via the institution can be reconstructed;
- any customer can be properly identified and located;
- all suspicious reports received internally and those made to Bangladesh Bank can be identified; and
- the institution can satisfy within a reasonable time any enquiries or court orders from the appropriate authorities as to disclosure of information.

Records relating to verification of identity will generally comprise:

- a description of the nature of all the evidence received relating to the identity of the verification subject;
- the evidence itself or a copy of it or, if that is not readily available, information reasonably sufficient to obtain such a copy.

Records relating to transactions will generally comprise:

- details of personal identity, including the names and addresses, etc. pertaining to:
  - ✓ the customer;
  - ✓ the beneficial owner of the account or product;
  - ✓ the non-account holder conducting any significant one-off transaction;
  - ✓ any counter-party.
- details of transaction including:
  - ✓ nature of such transactions;
  - ✓ volume of transactions customer's instruction(s) and authority(ies);
  - ✓ source(s) of funds;
  - ✓ destination(s) of funds;
  - ✓ book entries;
  - ✓ custody of documentation;
  - ✓ date of the transaction;
  - ✓ form in which funds are offered and paid off;
  - ✓ parties to the transaction;
  - ✓ identity of the person who conducted the transaction on behalf of the customer.

These records of identity must be kept for at least five years from the date when the relationship with the customer has ended. This is the date of:

- ✓ closing of an account;
- ✓ providing of any financial services;
- ✓ carrying out of the one-off transaction, or the last in a series of linked one-off transactions;
- ✓ ending of the business relationship;
- ✓ commencement of proceedings to recover debts payable on insolvency.

Financial institutions should ensure that records pertaining to the identification of the customer, his/her address (e.g. copies of documents like passport, national ID card, driving license, trade license, utility bills etc.) obtained while opening the account and during the course of business relationship, are properly preserved for at least five years after the business relationship is ended and should be made available to the competent authorities upon request without delay.

## 8.2. Retrieval of Records

To satisfy the requirements of the law and to meet the purpose of record keeping, it is important that records are capable of retrieval without undue delay. It is not necessary to retain all the documents relating to customer identity and transaction physically at the premises of the branch of a financial institution, provided that they have reliable procedures for keeping the hard copy at a central archive, holding records in electronic form, and that can be reproduced and recollected without undue delay. It is not always necessary to retain documents in their original hard copy form, provided that the firm has reliable procedures for holding records in

microchips or electronic form, as appropriate, and that these can be reproduced without undue delay. In addition, an institution may rely on the records of a third party, such as a financial institution or clearing house in respect of details of payments made by customers. However, the primary requirement is on the institution itself and the onus is thus on the business to ensure that the third party is willing and able to retain and, if asked to, produce copies of the records required. However, the record requirements are the same regardless of the format in which they are kept or whether the transaction was undertaken by paper or electronic means. Documents held centrally must be capable of distinguishing between the transactions relating to different customers and of identifying where the transaction took place and in what form.

### 8.3. STR and Investigation

Where a FI has submitted a report of suspicious transaction to BFIU or where it is known that a customer or any transaction is under investigation, it should not destroy any records related to the customer or transaction without the consent of the BFIU or conclusion of the case even though the five-year limit may have been elapsed. To ensure the preservation of such records the financial institutions should maintain a register or tabular records of all investigations and inspection made by the investigating authority or Bangladesh Bank and all disclosures to the BFIU. The register should be kept separate from other records and contain as a minimum the following details:

- ✓ the date of submission and reference of the STR/SAR;
- ✓ the date and nature of the enquiry;
- ✓ the authority who made the enquiry, investigation and reference; and
- ✓ details of the account(s) involved.

### 8.4. Training Records

Financial institutions will comply with the regulations concerning staff training, they shall maintain training records which include:

- ✓ details of the content of the training programs provided;
- ✓ the names of staff who have received the training;
- ✓ the date/duration of training;
- ✓ the results of any testing carried out to measure staffs understanding of the requirements; and
- ✓ an on-going training plan.

### 8.5. Branch Level Record Keeping

To ensure the effective monitoring and demonstrate their compliance with the concerned regulations, FIs have to ensure the keeping or availability of the following records at the branch level either in hard form or electronic form:

- Information regarding Identification of the customer;
- KYC information of a customer;

- Transaction report;
- Suspicious Transaction/Activity Report generated from the branch;
- Exception report;
- Training record;
- Return submitted or information provided to the Head Office or competent authority.

#### 8.6. Sharing of Record/Information of/to a Customer

Under MLPA 2012, and ATA, 2009 (as amended in 2012), FIs shall not share account related information to investigating authority i.e., ACC or person authorized by ACC to investigate the said cases without having court order or prior approval from Bangladesh Bank.

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## CHAPTER 9

### REPORTING TO BFIU

#### Reporting Requirement

Under Section 25(1)(d) of MLPA, 2012, Reporting Organizations shall have to report any doubtful transaction or attempt of such transaction as defined under Section 2(z) of the same act as suspicious transaction report to the BFIU immediately on its own accord.

As per BFIU Circular no. 12 dated 29/06/2015, every financial institution will submit cash transaction report within 21 days of the subsequent month.

#### 9.1. Cash Transaction Report

As per section Every branch will prepare the monthly cash transaction report and send it to Bangladesh Financial Intelligence Unit (BFIU) in due time. As per Bangladesh Bank directives branch will submit Cash Transaction Report (CTR) for deposit & withdrawal of cash amounting to Tk. 10.00 lac & above in customers' accounts in a particular day to the BFIU. Deposit of Tk.10.00 Lac & above in a Government Account shall not be reported but withdrawal of 10.00 Lac & above must be reported in CTR.

Branches shall generate monthly Cash Transaction Report (CTR) for threshold amount Tk. 10 lacs & above both for goAML Software filing up the mandatory fields within given deadline. BFIU on verification & compilation sends Nil Cash Transaction Report (CTR) directly to BFIU of Bangladesh Bank using goAML web software.

If the branch has not any such transaction, it shall report it to the BFIU as 'There is no reportable CTR'. Simultaneously, branches need to identify whether there is any suspicious transaction reviewing the cash transactions. If any suspicious transaction is found, the branch will submit it as 'Suspicious Transaction Report' to the BFIU. If no such transaction is identified, it needs to inform to BFIU as 'No suspicious transaction has been found' while reporting the CTR. Besides, every branch needs to preserve its CTR in its own branch.

BFIU needs to prepare the accumulated CTR received from its all branches. BFIU must ensure the accuracy and timeliness while reporting to BFIU. Moreover it has to review all the cash transaction from the branches above the threshold and search for any suspicious transaction. If any suspicious transaction is found, the branch will submit it as 'Suspicious Transaction Report' to the CCU. CCU has to inform BFIU through the message board of goAML web in case of no transaction is found to be reported as CTR. Moreover, BFIU must ensure the preservation of information related to cash transaction report up to 5 (five) years from the month of submission to BFIU.

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## 9.2. Suspicious Transaction Reporting

As per Section 2(z) of MLPA 2012 Suspicious Transaction means such transactions-

- which deviates from usual transactions of which there is ground to suspect that
  - the property is the process of an offense
  - it is financing to any terrorist activity, a terrorist group or an individual terrorist
- which is for the purpose of this Act, any other transaction or attempt of transaction delineated in the instruction issued by BFIU from time to time.

As per Section 2(16) of ATA, 2009, Suspicious Transaction means such transactions

- which deviates from usual transactions
- which invokes presumption that
  - it is the proceeds of an offence under this Act
  - it relates to financing of terrorist activities or a terrorist person or entity
- which is any other transaction or attempt of transaction delineated in the instruction issued by BFIU from time to time.

**Suspicious Activity (SA)** arises from suspicion relating to general behavior of the person in question which creates the knowledge or belief that he or she may be involved in illegal activities out of which proceeds might be generated. Any suspicious attempted transaction also fall in this category.

## 9.3. Reporting Process

The final output of an Anti-Money Laundering (AML) & Combating Financing of Terrorism (CFT) compliance program is reporting of suspicious transaction or reporting of suspicious activity. Suspicious Transaction Report (STR) or Suspicious Activity Report (SAR) is an excellent tool for mitigating or minimizing the AML & CFT risk for ROs. Therefore it is necessary to find out the suspicious transaction and suspicious activity for the safety and soundness of the ROs.

In order to prepare an effective intelligence report or to have leads for a quality report, a complete STR is an essential requirement, i.e. the information submitted must be sufficient and complete to establish a connection to be made between the person(s) and the suspicious activity/transaction.

Generally STR/SAR means a formatted report of suspicious transactions/activities where there is reasonable grounds to believe that funds are the proceeds of predicate offence or may be linked to terrorist activity or the transactions are not seems to be usual manner. Such report is to be submitted by ROs to the competent authorities i.e. to BFIU. Suspicion basically involves a personal and subjective assessment. The reporting organizations have to assess whether there are reasonable grounds to suspect that a transaction is related to money laundering offence or a financing of terrorism offence.

In case of reporting of STR/SAR, reporting organizations should conduct the following 3 stages:

### 9.3.1 Identification of STR/SAR

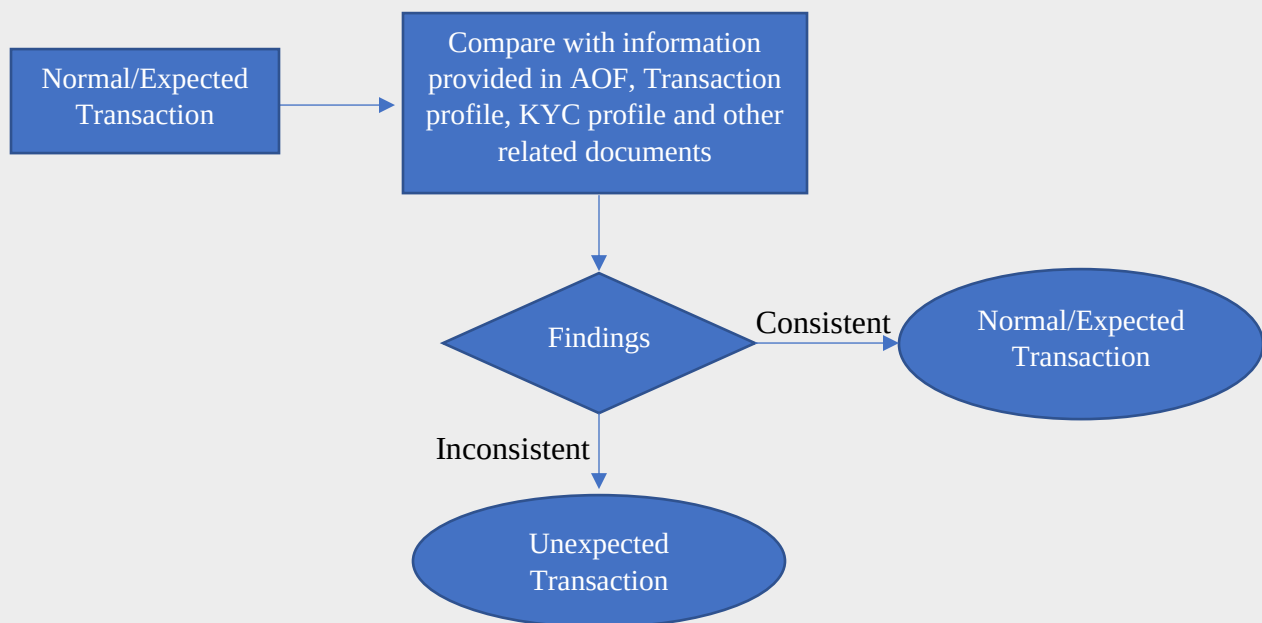
Identification of STR/SAR may be started identifying unusual transaction and activity. Such unusual transaction may be unusual in terms of complexity of transaction, nature of transaction, volume of transaction, time of transaction etc. Generally the detection of something unusual may be sourced as follows:

- Comparing the KYC profile, if any inconsistency is found and there is no reasonable explanation;
- By monitoring customer transactions; and
- By using red flag indicators.

A transaction which appears unusual is not necessarily suspicious. Even customers with a stable and predictable transaction profiles will have periodic transactions that are unusual for them. Many customers will, for perfectly good reasons, have an erratic pattern of transactions or account activity. So the unusual is, in the first instance, only a basis for further enquiry, which may in turn require judgment as to whether it is suspicious. A transaction or activity may not be suspicious at the time, but if suspicions are raised later, an obligation to report then arises. Section-9.6 provides some red flag indicators for identifying STR/SAR related to ML & TF.

All suspicions reported to the CCU should be documented, or recorded electronically. The report should include full details of the customer who is the subject of concern and as full a statement as possible of the information giving rise to the suspicion. All internal enquiries made in relation to the report should also be documented. This information may be required to supplement the initial report or as evidence of good practice and best endeavors if, at some future date, there is an investigation and the suspicions are confirmed or disproved.

The following chart shows the graphical presentation of identification of STR/SAR-





This stage is very vital for STR/SAR reporting. Depending on size, need and complexity of ROs monitoring of unusual transactions may be automated, manually or both. Some ROs use specialized software to detect unusual transactions or activities, however, the use of such software can only be complemented managerial oversight and not be replaced the need for constant monitoring of the accounts of customers. Monitoring mechanisms should be more rigorous in high-risk areas of a RO and supported by adequate information systems to alert management and other appropriate staffs of unusual /suspicious activity. Training of staff in the identification of unusual /suspicious activity should always be an ongoing activity.

### **9.3.2 Evaluation**

This part must be in place at branch level. After identification of STR/SAR at branch level, BAMLCO shall evaluate the reported transaction or activity in an appropriate manner and shall preserve his observations on it in a written format. If the transaction or activity seems to be suspicious, it, along with all necessary supportive documents, has to be sent to the Central Compliance Committee/Central Compliance Unit/Money Laundering and Terrorist Financing Prevention Department/Division without any delay. After receiving report from branch, Money Laundering and Terrorist Financing Prevention Department/Division shall review whether the reported suspicious transaction or activity from the branch has been reported in an appropriate manner with all necessary information, data and documents.

### **9.3.3 Disclosure**

This is the final stage and ROs should submit STR/SAR to BFIU. After checking the sufficiency of the required documents, Central Compliance Committee/Central Compliance Unit/Money Laundering and Terrorist Financing Prevention Department/Division shall submit a suspicious transaction/activity report to BFIU without delay by using goAML web as per instruction mentioned in goAML Manual. Every stages of evaluation ROs should keep records with proper manner.

Central Compliance Committee/Central Compliance Unit/Money Laundering and Terrorist Financing Prevention Department/Division shall submit suspicious transaction/activity report to BFIU if it identifies any transaction or activity as suspicious even though the concerned branch did not identified as suspicious

### **9.3.4 Documenting Reporting Decisions**

In order to control legal risks or for future reference it is important that adequate records of SARs and STRs are kept. This is usually done by the CAMLCO and would normally include details of:

- a) All SARs / STRs made;
- b) How the BAMLCO handled matters, including any requests for further information
- c) Assessments of the information provided, along with any subsequent decisions about whether or not to await developments or seek additional information;
- d) The rationale for deciding whether or not to proceed with SAR/STR;



e) Any advice given or action taken about continuing the business relationship and any relevant internal approvals granted in this respect.

These records can be simple or sophisticated, depending on the size of the business and the volume of reporting, but they always need to contain broadly the same information and be supported by the relevant working papers. The maintenance and retention of such records is important as they justify and defend the actions taken by the BAMLCO and/or other members of staff and should be made available to the Competent Authorities and BFIU upon request.

For practical purposes and ease of reference, a reporting index could be kept and each SAR/STR could be given a unique reference number.

### 9.3.5 Reporting Guidance

BFIU implemented a secured online reporting system namely the goAML, which requires the ROs to submit SARs and STRs through this channel. The goAML Web application provides a secure web based interface between the BFIU and its reporting organizations for the electronic upload of reports such as XML files, filling out the online report forms or sending XML files as attachments by secure e-mail, information sharing among stakeholders and other information.

ROs shall submit STR/SAR by using goAML web as per instruction mentioned in goAML Manual. (<https://www.bb.org.bd/eservices.php>). ROs can also submit STR/SAR manually by using the format prescribed by BFIU ([https://www.bb.org.bd/bfiu/reporting\\_forms.php](https://www.bb.org.bd/bfiu/reporting_forms.php)). ROs shall preserve all information on a reported STR until any further instruction by BFIU.

### 9.3.6 Penalty

As per Section 25 (2) of MLPA, if any reporting organization fails to report STR/SAR, a fine of at least Tk.50 (Fifty) Thousand but not exceeding Tk.25 (Twenty Five) lacs can be imposed on the reporting organization. In addition to the fine, BFIU may cancel the license or the authorization for carrying out commercial activities of the said organization or any of its branches, service centers, booths or agents, or as the cause may be, shall inform the registration or licensing authority about the fact so as to be relevant authority may take appropriate measures against the organization.

## 9.4. Tipping Off

A ‘tipping off’ offence occurs when any person discloses, either to the person who is the subject of a suspicion or any third party, that:

- a) Information or documentation on ML/TF has been transmitted to BFIU;
- b) A SAR/STR has been submitted internally or to BFIU;
- c) Authorities are carrying out an investigation/search into allegations of ML/TF;

Tipping-off may also occur in those cases when an employee approaches the client to collect information about the internal on-going investigation, and through the intense questioning, the client becomes aware of the investigation.

Section 6 of MLPA 2012 and FATF Recommendation 21 prohibits reporting organization, their directors, officers and employees from disclosing the fact that an STR or related information is being reported to BFIU. A risk exists that customers could be unintentionally tipped off when the reporting organization is seeking to perform its CDD obligation in those circumstances. The customer's awareness of a possible STR or investigation could compromise future effort to investigate the suspected money laundering or terrorist financing operation.

Reporting Organizations shall consider the confidentiality of the reporting of STR/SAR. They should not make any behavior or performance that could tip-off the customer and he/she (the customer) could be cautious.

Reporting Organizations shall report suspicious transaction/activity without performing Customer Due Diligence (CDD) if there is reasonable ground that Tipping Off may take place in the event of performing CDD for any transaction suspected to be related to ML & TF.

#### **9.4.1 Penalty of Tipping Off**

Under section 6 of MLPA, 2012, if any person, institution or agent empowered under this Act divulges any information collected, received, retrieved or known by the person, institution or agent during the course of employment or appointment, or after the expiry of any contract of service or appointment for any purpose other than the purposes of this Act shall be punished with imprisonment for a term not exceeding 2 (two) years or a fine not exceeding taka 50 (fifty) thousand or with both.

### **9.5. Safe Harbor Provision**

In section (28) of MLPA, 2012 provides the safe harbor for persons submitting suspicious reports.

As per Section 28 of MLPA, no suit or prosecution or administrative measures or any other legal proceedings shall lie against any reporting organization or its Board of Directors or any of its officers or staffs for anything which is done in good faith under this Act or Rules made thereunder for which any person is or likely to be affected.

Disclosure of information in good faith by a reporting organization or by an employee or director of such a reporting organization shall not constitute a breach of any restriction on disclosure of information imposed by contract or by any legislative, regulatory or administrative provision, and shall not involve the obliged entity or its directors or employees in liability of any kind even in circumstances where they were not precisely aware of the underlying criminal activity and regardless of whether the illegal activity actually occurred.

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## 9.6. Red Flags

### **Suspicion can be defined as**

- A state of mind more definite than speculation but falling short of evidence-based knowledge;
- A positive feeling of actual apprehension or mistrust;
- A slight opinion, without sufficient evidence.

### **The following red flags can be used as indicators of Suspicious Transaction or Suspicious Activities:**

1. Significant mismatch with financial status of the customer.
2. Fake documents & false information submitted by the customer.
3. Customer is reluctant to provide documents.
4. Frequent cash transaction not aligned with the business or, profession of the customer.
5. Structuring.
6. Pay order & Demand Draft purchased or/and encashed without bona fide transaction.
7. Cheque kitting and fraudulent activity related to financial instruments.
8. Large number and amount of transaction with minimum balance.
9. Sudden pay off of loan or, multiple number of unpaid installments.
10. Account opened and transacted large amount in the name of non-earning members and close aides.
11. Customer or beneficiary has link with terrorist activities or, terrorist financing or, sanctioned organization.
12. Adverse media report against the customer or, beneficiary.
13. Transaction or activities related to TBML/TF related trade financing.
14. Transaction with high risk jurisdiction.
15. Suspicious cross border inward/outward transaction.
16. Relationship with front company or Shell Company.
17. Use of funds by the NGO/NPO/Co-operative inconsistent with the purpose.
18. An atypical incidence of pre-payment of insurance premiums.

## 9.7. Investment Related Transactions

- a) The purchase of securities to be kept in custody by the financial institution where such operation appears to be inconsistent with the customer's business.
- b) Securities transactions through a trust or similar intermediary where the amounts are substantial and are in cash, or are made through an offshore entity bearing no relation to the customer's business.
- c) The purchase by customers of bearer shares, especially if issued by offshore entities, and where custody or control of such shares is unknown.
- d) Transactions where customers settle trading in securities by remittances or cheques from third parties, unless they are found rational by institutions.



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- e) The purchase and sale of financial instruments without any apparent purpose or in unusual circumstances.
  - f) Back to back deposit/ loan transactions with subsidiaries of, or affiliates of, overseas financial institutions in known drug trafficking areas.
  - g) Requests from customers for investment handling services, in foreign currency or securities, where the source of the funds is not clear or is inconsistent with the customer's known business.

## 9.8. Loan Transactions

- a) Transactions where customers unexpectedly make repayments of overdue loan, early settlement of loan before maturity, or overpayments of other banking services (e.g. credit card), unless they are found rational by institutions in view of customers' occupations, business patterns and other factors.
- b) Request to borrow against assets held by the institution or a third party, where the origin of the assets is not known or the assets are inconsistent with the customer's standing.
- c) Request by a customer for an institution to provide or arrange finance where the source of the customer's financial contribution to the deal is unclear, particularly where property is involved.
- d) A customer who is reluctant or refuses to state a purpose of a loan or the source of repayment, or provides a questionable purpose and/ or source.

## 9.9. Other Transactions

- a) Transactions involving customers who refuse to explain reasons or submit information when requested to verify the intended beneficiary and clear the suspicion regarding whether or not the customer is acting on its own behalf. These transactions include those that are made by representatives of customers and are expected to benefit others than the customers.
- b) Transactions that are made by employees of institutions or their relatives to benefit parties that are unknown.
- c) Transactions involving customers who unusually emphasize the secrecy of the deals, and customers who attempt to ask, force or bribe staff of institutions not to report the deals to authorities.



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## CHAPTER 10

### TRAINING AND AWARENESS

FATF recommendation 18 suggests that a formal AML/CFT compliance program shall include an ongoing employee training program. The importance of a successful training and awareness program cannot be overstated. Employees in different business functions need to understand how the BIFFL's policy, procedures, and controls affect them in their day to day activities. As per BFIU master circular, BIFFL shall arrange suitable training for their officials to ensure proper compliance of money laundering and terrorist financing prevention activities.

#### 10.1. Employee Screening

ML & TF risks arise from its customers as well as from its employee in absence of proper risk mitigating measures. ML & TF risks arise from customers and its mitigating measures have been discussed in several chapters of this guideline. ML & TF risks arose by or through its employees can be minimized if the FI follows fair recruitment procedure. This fair recruitment procedure shall not only include implementation of fairness in judging publicly declared competitive recruitment, but also include the judgment of good character. For this, BIFFL needs to follow the following measures:

- reference check;
- background check;
- screening through or clearance from Law Enforcement Agency;
- personal interviewing;
- personal guarantee etc.

Before assigning an employee in a particular job or desk, BIFFL shall examine the consistency and capability of the employee and be ensured that the employee shall have necessary training on AML & CFT lessons for the particular job or desk.

#### 10.2. Know Your Employee (KYE)

It is learnt at great expense that an insider can pose the same ML/TF threat as a customer. It has become clear in the field that having co-equal programs to know your customer and to know your employee is essential. In an effort to identify and anticipate trouble before it costs time, money and reputational damage, BIFFL shall look closely at the people inside their own organizations as per the Human Resources Policy and its amendments from time to time.

A Know Your Employee (KYE) program means that BIFFL shall have a program in place that would allow it to understand an employee's background, conflicts of interest and susceptibility to money laundering complicity. Policies, procedures, internal controls, job description, code of conduct/ethics, levels of authority, compliance with personnel laws and regulations,



accountability, dual control, and other deterrents shall be firmly in place. Background screening of prospective and current employees, especially for criminal history, is essential to keep out unwanted employees and identifying those to be removed. It can be an effective risk management tool, providing management with some assurance that the information provided by the applicant is true and that the potential employee has no criminal record. Used effectively, the pre-employment background checks may reduce turnover by verifying that the potential employee has the requisite skills, certification, license or degree for the position; deter theft and embezzlement; and prevent litigation over hiring practices. BIFFL shall verify that contractors are subject to screening procedures similar to its own. The sensitivity of the position or the access level of an individual employee may warrant additional background screening, which shall include verification of references, experience, education and professional qualifications. The extent of the screening depends on the circumstances, with reasonableness the standard. In this regard, the prescribed KYE Form shall be executed during on-boarding its employees.

### 10.3. Training for Employee

Every employee of the BIFFL shall have at least basic AML & CFT training that shall cover all the aspects of AML & CFT measures in Bangladesh. Relevant provision of Acts, rules and circulars, guidelines, regulatory requirements, suspicious transaction or activity reporting shall be covered in basic AML & CFT training course. To keep the employees updated about AML & CFT measures, BIFFL is required to impart refreshment training programs of its employees on a regular basis. AML & CFT basic training of BIFFL shall cover the following:

- An overview of AML & CFT initiatives;
- Relevant provisions of MLPA & ATA and the rules there on;
- Regulatory requirements as per BFIU circular, circular letters and guidelines;
- CDD measures;
- Transaction Monitoring;
- KYC & related information upgrading program;
- STR/SAR reporting procedure;
- Ongoing monitoring and sanction screening mechanism;
- UNSCR screening related training for all employees who deal with international transactions, customer relations and account opening;
- There shall have specific training for the concerned employees of ICCW on Independent Testing procedure.

### 10.4. Customer Awareness

BIFFL shall take proper actions for broadcasting awareness building advertisement and documentaries regarding prevention of money laundering and terrorist financing through different mass media under Corporate Social Responsibility (CSR) fund.



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## 10.5. Awareness of Mass People

Prevention of ML & TF largely depends on awareness at all level. Public or mass people awareness on AML & CFT measures provides synergies to FIs in implementing the regulatory requirement. For this, BIFFL under the guidance of BFIU, BB, other regulators as well as the government shall arrange public awareness programs on AML & CFT issues like advertisements through billboard, poster, festoon and mass media, distribution of handbills, leaflet and so on which will continue in the next course of action.

## 10.6. The Need for Staff Awareness

Officials of BIFFL shall be aware of their own personal statutory obligations and that they can be personally liable for failure to report information in accordance with internal procedures. All officers shall be trained up to co-operate fully and to provide a prompt report of any suspicious transactions. It is, therefore, important that office introduce comprehensive measures to ensure that all officer and contractually appointed agents are fully aware of their responsibilities.

## 10.7. Education and Training Programs

All officials shall be educated in the process of the ‘know your customer’ requirements for money laundering prevention purposes. The training in this respect shall cover not only the need to know the true identity of the customer but also, where a business relationship is being established, the need to know enough about the type of business activities expected in relation to that customer at the outset to know what might constitute suspicious activity at a future date. Relevant officials shall be alert to any change in the pattern of a customer’s transactions or circumstances that might constitute criminal activity.

## 10.8. General Training

A general training program shall include the following:

- General information on the risks of money laundering and terrorist financing schemes, methodologies, and typologies;
- Legal framework, how AML/CFT related laws apply to FI and employees;
- Internal policies and systems with regard to customer identification and verification, due diligence, monitoring;
- How to react when faced with a suspicious client or transaction;
- How to respond to customers who want to circumvent reporting requirements;
- Stressing the importance of not tipping off clients;
- Suspicious transaction reporting requirements and processes;
- Duties and accountabilities of employees.



The person responsible for designing the training must identify which, if any, of these topics relate to the target audience. Effective training shall present real life money laundering schemes, preferably cases that have occurred at the institution or at similar institutions, including, where applicable, how the pattern of activity was first detected and its ultimate impact on the financial institution.

### 10.9. New Employees

A general appreciation of the background to money laundering, and the subsequent need for reporting any suspicious transactions to the Anti Money Laundering Compliance Officer (BAMLCO) shall be provided to all new employees who are likely to be dealing with customers or their transactions, irrespective of the level of seniority. They shall be made aware of the importance placed on the reporting of suspicions by the organization, that there is a legal requirement to report, and that there is a personal statutory obligation to do so.

### 10.10. Investment Officials

Training shall reflect an understanding of the investment function. Judgments about collateral and investment require awareness and vigilance toward possible laundering and funding terrorists. Indirect funding programs and lease financing also call for KYC efforts and sensitivity to laundering risks.

### 10.11. Audit and Compliance Staff

These are the people charged with overseeing, monitoring and testing AML/CFT controls, and they shall be trained about changes in regulation, money laundering and terrorist financing methods and enforcement, and their impact on the institution.

### 10.12. Senior Management/Operations Supervisors and Managers

A higher level of instruction covering all aspects of money laundering procedures shall be provided to those with the responsibility for supervising or managing officer. This will include the offences and penalties arising from the Act for non-reporting and for assisting money launderers; internal reporting procedures and the requirements for verification of identity and the retention of records.

### 10.13. Senior Management and Board of Directors

Money laundering and terrorist financing issues and dangers shall be regularly and thoroughly communicated to the Board. It is important that the Money Laundering & Terrorist Financing Division has strong Board support, and one way to ensure that is to keep Board members aware of the reputational risk that money laundering and terrorist financing poses to the FI. Major AML/CFT compliance related circulars/circular letters issued by BFIU shall be placed to the Board to bring it to the notice of the Board members.





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#### 10.14. Anti-Money Laundering Compliance Officials

The AML/CFT Compliance Officer of BIFFL shall receive in depth training on all aspects of the Money Laundering and Terrorist Financing Prevention Legislation, BFIU directives and internal policies. In addition, the AML/CFT Compliance Officer will require extensive instructions on the validation and reporting of suspicious transactions and on the feedback arrangements, and on new trends and patterns of criminal activity.

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## CHAPTER 11

### INTERNAL AUDIT, INDEPENDENT TESTING & SELF-ASSESSMENT

#### 11.1. Why the Audit Function is Necessary

To ensure the effectiveness of the AML/CFT program, BIFFL shall assess the program regularly and look for new risk factors. FATF recommendation 15 suggests that a FI covered by laws shall establish and maintain policies, procedures and controls which shall include an appropriate compliance function and an audit function.

#### 11.2. Why the Audit Function must be Independent

The audit must be independent (i.e. performed by people not involved with the financial institution's AML/CFT compliance officer). Audit is a kind of assessment of checking of a planned activity. Only those will check or examine the branch who do not have any stake in it. To ensure objective assessment it is important to engage an independent body to do audit.

#### 11.3. Whom they Report

The individuals conducting the audit should report directly to the board of directors/senior management.

#### 11.4. The ways of Performing Audit Function

Audit function shall be done by the internal audit. At the same time external auditors appointed by the financial institution to conduct annual audit shall also review the adequacy of AML/CFT program during their audit.

#### 11.5. Internal Audit

BIFFL's internal auditors shall be well resourced and enjoy a degree of independence within the organization. Those performing the independent testing must be sufficiently qualified to ensure that their findings and conclusions are reliable. The responsibilities of internal auditors are:

- Address the adequacy of AML/CFT risk assessment;
- Examine/attest the overall integrity and effectiveness of the management systems and the control environment;
- Examine the adequacy of Customer Due Diligence (CDD) policies, procedures and processes, and whether they comply with internal requirements;
- Determine personnel adherence to the financial institution's AML/CFT policies, procedures and processes;



- Perform appropriate transaction testing with particular emphasis on high risk operations (products, service, customers and geographic locations);
- Assess the adequacy of the branch processes for identifying and reporting suspicious activity;
- Communicate the findings to the board and/or senior management in a timely manner;
- Recommend corrective action for deficiencies;
- Track previously identified deficiencies and ensure that management corrects them;
- Assess training adequacy, including its comprehensiveness, accuracy of materials, training schedule and attendance tracking.

### 11.6. External Auditor

External auditor shall play an essential part in reviewing the adequacy of controls by communicating their findings and recommendations to management via the annual management letter, which accompanies the audit report. External audit should focus their audit programs on risk factors and conducts intensive reviews of higher risk areas where controls may be deficient. External auditors may report incidences of suspected criminal activity uncovered during audits, to the financial sector supervisors.

### 11.7. Requirement of Independent Testing

As per BFIU Master Circular 12 dated 29 June 2015, Independent Testing is to be conducted at least annually by BIFFL's internal audit department. The test will cover the following areas:

- i. Branch Compliance Unit/BAMLCO;
- ii. Knowledge of officers/employees on AML/CFT issues;
- iii. Customer Identification (KYC) process;
- iv. Branch's receipt of customers' expected transaction profile and monitoring;
- v. Process and action to identify Suspicious Transaction Reports (STRs);
- vi. Regular submission of reports to CCU;
- vii. Proper record keeping;
- viii. Overall AML related activities by the branch

The tests include interviews with employees handling transactions and interviews with their supervisors to determine their knowledge and compliance with the anti-money laundering procedures of the branch/office.

- sampling of large transactions followed by a review of transaction record retention forms and suspicious transaction referral forms;
- test of the validity and reasonableness of any exemption granted by the financial institution; and

- test of the record keeping system according to the provisions of the laws. Any deficiencies shall be identified and reported to senior management together with a request for a response indicating corrective action taken or to be taken and a deadline.

### 11.8. Requirement of Self-Assessment

As per BFIU Master Circular 12 dated 29 June 2015, each FI shall establish half yearly self-assessment procedure that will assess how effectively the FI's AML/CFT program is working. This procedure enables management to identify areas of risk or to assess the need for additional control mechanisms. The self-assessment shall conclude with a report documenting the work performed, how it was controlled/ supervised and the resulting findings, conclusions and recommendations. The self-assessment shall advise management whether the internal procedures and statutory obligations of the FI have been properly discharged.

Therefore, each Office/Branch of BIFFL will assess its AML/CFT activities covering the following areas on half yearly basis and submit the report to CCU within next 15 days.

- i. The percentage of officers/employees that received official training on AML/CFT;
- ii. The awareness of the officers/employees about the internal AML/CFT policies, procedures and programs, and BFIU's instructions and guidelines;
- iii. The arrangement of AML/CFT related meeting on regular interval;
- iv. The effectiveness of the customer identification during opening an individual, corporate and other account;
- v. The risk categorization of customers by the branch;
- vi. Regular update of customer profile upon reassessment;
- vii. The monitoring of customers' transactions with their declared TP after categorizing the customers based on risk or transactions over specific limit;
- viii. Identification of Suspicious Transaction Reports (STRs);
- ix. The maintenance of a separate file containing MLPA, Circulars, Training Records, Reports and other AML related documents and distribution of those among all employees;
- x. The measures taken by the branch during opening of account of PEPs;
- xi. Consideration of UN Sanction List while conducting any business.

### 11.9. Self-Assessment Report

In order to reduce the AML & CFT risk, BFIU has established a Self-Assessment Reporting system for the offices/branches. According to the instructions of BFIU, offices/branches of BIFFL need to conduct the Self-Assessment to evaluate them on a half yearly basis. Self-Assessment has to be done through a checklist that is circulated by BFIU circular no. 12 dated 29 June 2015. Before finalizing the evaluation report, there shall have to be a meeting presided over by the CAMLCO/branch manager with all concerned officials of the branch. In that meeting, there shall be a discussion on the branch evaluation report; if the identified problems



according that report are possible to solve at the branch level, then necessary actions shall be taken without any delay to finalize it; and in the final report, recommendations shall have to be jotted down. In the subsequent quarterly meetings on preventing money laundering and terrorist financing, the progress of the related matters shall be discussed. After the end of every half year, the branch evaluation report along with the measures taken by the branch in this regard and adopted recommendations regarding the issue shall be submitted to the Audit & Inspection Wing of ICC Unit of the Head Office and the Central Compliance Unit within the 15th of the next month.

#### 11.10.Independent Testing Procedure

The testing function must be independent and done by the ICC Unit. Independent testing has to be done through a checklist that is circulated by BFIU circular no. 12 dated 29 June 2015. The individuals conducting the audit shall report directly to the CCU along with the rating report.